

SEC Number : 91447
File Number : _____

SEMIRARA MINING AND POWER CORPORATION
Company's Full Name

2nd Floor, DMCI Plaza
2281 Chino Roces Avenue, Makati City
Company's Address

8888-3055
Telephone Number

For the Period Ended 30 September 2025
Period Ended

QUARTERLY REPORT FORM 17-Q
Form Type

SEC FORM 17-Q

**QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES
REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER**

1. For the quarter ended **30 September 2025**

2. Commission Identification Number **91447**

3. BIR Tax Identification No. **000-190-324-000**

4. Exact Name of issuer as specified in its charter:

SEMIRARA MINING AND POWER CORPORATION

5. Province, Country or other jurisdiction of incorporation of organization:
PHILIPPINES

6. Industry Classification Code: _____ (SEC use only)

7. Address of issuer's principal office Postal Code

**2nd Floor, DMCI Plaza, 1231
2281 Chino Roces Avenue, Makati City**

8. Registrants telephone Number, including area code:
+63 2 8888-3055

9. Former Address : 7th Floor, Quad Alpha Centrum Bldg.,
125 Pioneer St., Mandaluyong City
Telephone Nos. : 631-8001 to 6318010
Former name : Semirara Coal Corporation/Semirara Mining Corporation
No former fiscal year of the registrant.

10. Securities registered pursuant to Section 4 of the RSA.

Title of each class	Number of shares of common Stock Outstanding
<u>Common Stock, P1.00 par value</u>	<u>4,250,547,620 shares</u>

11. 4,264,609,290 shares are listed in the Philippine Stock Exchange

12. The registrant has filed all reports required to be filed by Section 11 of the Revised Securities Act (RSA) and RSA Rule 11 (a)-1 thereunder and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding 12 months.

Has been subject for such filing requirements for the past 90 days

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SEMIRARA MINING AND POWER CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	September 30, 2025 Unaudited	December 31, 2024 Audited
ASSETS		
Current Assets		
Cash and cash equivalents	₱9,281,105,510	₱9,466,892,791
Receivables	7,254,352,907	7,569,681,007
Inventories	14,939,521,149	11,977,301,157
Other current assets	1,153,311,501	1,185,005,882
Total Current Assets	32,628,291,067	30,198,880,837
Noncurrent Assets		
Investment in associate	1,493,215,994	1,780,664,756
Property, plant and equipment	34,177,679,140	37,209,638,852
Deferred mine exploration cost	993,586,144	993,586,144
Deferred tax assets – net	696,071,414	696,071,414
Other noncurrent assets	577,516,140	315,115,808
Total Noncurrent Assets	37,938,068,832	40,995,076,974
	₱70,566,359,899	₱71,193,957,811
LIABILITIES AND EQUITY		
Current Liabilities		
Trade and other payables	₱10,559,540,593	₱11,222,149,172
Current portion of long-term debt	940,506,491	1,640,932,429
Current portion of lease liabilities	5,282,500	8,436,175
Total Current Liabilities	11,505,329,584	12,871,517,776
Noncurrent Liabilities		
Long-term debt – net of current portion	290,874,285	993,812,125
Lease liabilities – net of current portion	28,623,725	31,746,817
Provision for decommissioning and site rehabilitation costs	388,398,309	388,398,309
Pension liabilities	404,220,907	348,135,612
Other noncurrent liabilities	37,367,618	41,792,731
Total Noncurrent Liabilities	1,149,484,844	1,803,885,594
Total Liabilities	12,654,814,428	14,675,403,370
Equity		
Capital stock	4,264,609,290	4,264,609,290
Additional paid-in capital	6,675,527,411	6,675,527,411
Retained earnings	47,870,876,217	46,477,885,187
Net remeasurement losses on pension plan	(159,940,769)	(159,940,769)
Treasury shares	(739,526,678)	(739,526,678)
Total Equity	57,911,545,471	56,518,554,441
	₱70,566,359,899	₱71,193,957,811

SEMIRARA MINING AND POWER CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME (UNAUDITED)

	For the period		For the quarter	
	Jan to Sep 2025	Jan to Sep 2024	Jul to Sep 2025	Jul to Sep 2024
REVENUES				
Coal	₱24,733,848,587	₱30,417,715,530	₱6,369,939,947	₱6,535,710,997
Power	18,523,241,239	19,253,009,454	5,556,309,257	6,540,817,041
	43,257,089,826	49,670,724,984	11,926,249,204	13,076,528,038
COSTS OF SALES				
Coal	17,237,066,786	17,141,121,979	5,647,454,844	4,693,198,934
Power	8,997,613,390	8,097,203,593	3,042,489,712	3,358,121,660
	26,234,680,176	25,238,325,572	8,689,944,556	8,051,320,594
GROSS PROFIT	17,022,409,650	24,432,399,412	3,236,304,648	5,025,207,444
OPERATING EXPENSES	(6,077,794,680)	(7,842,104,981)	(1,517,706,868)	(1,848,360,554)
INCOME FROM OPERATIONS	10,944,614,970	16,590,294,431	1,718,597,780	3,176,846,890
OTHER INCOME (CHARGES)				
Finance income	220,311,730	728,493,159	60,279,773	219,379,831
Finance costs	(153,743,843)	(294,430,602)	(38,791,120)	(73,226,666)
Share in net income (loss) of associate	(240,469,430)	—	(58,784,574)	—
Foreign exchange gains (losses) - net	135,145,465	24,570,131	10,595,595	7,260,024
Other income - net	374,368,391	485,389,590	95,612,798	259,839,121
	335,612,313	944,022,278	68,912,472	413,252,310
INCOME BEFORE INCOME TAX	11,280,227,283	17,534,316,709	1,787,510,252	3,590,099,200
PROVISION FOR INCOME TAX	1,386,141,013	1,826,356,916	312,503,344	472,479,249
NET INCOME	9,894,086,270	15,707,959,793	1,475,006,908	3,117,619,951
OTHER COMPREHENSIVE INCOME	—	—	—	—
TOTAL COMPREHENSIVE INCOME	₱9,894,086,270	₱15,707,959,793	₱1,475,006,908	₱3,117,619,951
Basic/Diluted Earnings per Share	₱2.33	₱3.70	₱0.35	₱0.73

SEMIRARA MINING AND POWER CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY (UNAUDITED)

			Retained Earnings				
	Capital Stock	Additional Paid-in Capital	Unappropriated	Appropriated	Net Remeasurement Loss on Pension Plan	Treasury Shares	Total
For the Period Ended September 30, 2025							
Balances as of January 1, 2025	₱4,264,609,290	₱6,675,527,411	₱39,677,885,187	₱6,800,000,000	(₱159,940,769)	(₱739,526,678)	₱56,518,554,441
Comprehensive income							
Net income	—	—	9,894,086,270	—	—	—	9,894,086,270
Other comprehensive gain (loss)	—	—	—	—	—	—	—
Total comprehensive income	—	—	9,894,086,270	—	—	—	9,894,086,270
Cash dividends declared	—	—	(8,501,095,240)	—	—	—	(8,501,095,240)
Balances as of September 30, 2025	₱4,264,609,290	₱6,675,527,411	₱41,070,876,217	₱6,800,000,000	(₱159,940,769)	(₱739,526,678)	₱57,911,545,471

			Retained Earnings				
	Capital Stock	Additional Paid-in Capital	Unappropriated	Appropriated	Net Remeasurement Loss on Pension Plan	Treasury Shares	Total
For the Period Ended September 30, 2024							
Balances as of January 1, 2024	₱4,264,609,290	₱6,675,527,411	₱45,551,667,128	₱6,800,000,000	(₱174,298,459)	(₱739,526,678)	₱62,377,978,692
Comprehensive income							
Net income	—	—	15,707,959,793	—	—	—	15,707,959,793
Other comprehensive income	—	—	—	—	—	—	—
Total comprehensive income	—	—	15,707,959,793	—	—	—	15,707,959,793
Cash dividends declared	—	—	(14,876,916,670)	—	—	—	(14,876,916,670)
Balances as of September 30, 2024	₱4,264,609,290	₱6,675,527,411	₱46,382,710,251	₱6,800,000,000	(₱174,298,459)	(₱739,526,678)	₱63,209,021,815

SEMIRARA MINING AND POWER CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS (UNAUDITED)

	Periods Ended September 30	
	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	₱11,280,227,283	₱17,534,316,709
Adjustments for:		
Depreciation and amortization	6,053,571,859	4,974,800,469
Finance costs	153,743,843	294,430,602
Share in net income (loss) of associate	240,469,430	—
Net unrealized foreign exchange gains	(135,145,465)	(24,570,131)
Finance income	(220,311,730)	(728,493,159)
Operating income before changes in operating assets and liabilities	17,372,555,220	22,050,484,490
Changes in operating assets and liabilities:		
Decrease (increase) in:		
Receivables	315,328,100	3,805,037,770
Other current assets	31,694,381	168,365,523
Inventories	(2,962,219,992)	852,618,106
Increase (decrease) in trade and other payables	1,743,268,234	(3,605,324,502)
Cash generated from operations	16,500,625,944	23,271,181,387
Interest received	220,311,730	728,493,159
Income taxes paid	(1,466,102,493)	(1,864,904,391)
Interest paid	(83,638,686)	(203,292,349)
Net cash provided by operating activities	15,171,196,495	21,931,477,806
CASH FLOWS FROM INVESTING ACTIVITIES		
Additions to property, plant and equipment	(5,319,399,451)	(3,781,731,661)
Decrease (increase) in other noncurrent assets	(262,400,332)	250,141,269
Net cash used in investing activities	(5,581,799,783)	(3,531,590,392)
CASH FLOWS FROM FINANCING ACTIVITIES		
Payment of loans	(1,411,168,900)	(3,120,185,714)
Payment of dividends	(8,356,466,888)	(14,876,916,670)
Decrease in noncurrent liabilities	(7,548,205)	(15,724,933)
Net cash used in financing activities	(9,775,183,993)	(18,012,827,317)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(185,787,281)	387,060,097
CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD	9,466,892,791	18,986,929,983
CASH AND CASH EQUIVALENTS AT END OF PERIOD	₱9,281,105,510	₱19,373,990,080

SEMIRARA MINING AND POWER CORPORATION AND SUBSIDIARIES

NOTES TO UNAUDITED CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information

Semirara Mining and Power Corporation (SMPC or the Parent Company) is a corporation incorporated in the Philippines on February 26, 1980. The Parent Company's registered and principal office address is at 2/F DMCI Plaza, 2281 Don Chino Roces Avenue, Makati City. The Parent Company's shares of stock are listed and currently traded at the Philippine Stock Exchange (PSE). The Parent Company is a 56.65%-owned subsidiary of DMCI Holdings, Inc. (DMCI-HI), a publicly-listed entity in the Philippines and its ultimate parent company.

The Parent Company and its subsidiaries are collectively referred to herein as "the Group".

The Group's primary purpose is to search for, prospect, explore, dig and drill, mine, exploit, extract, produce, mill, purchase or otherwise acquire, store, hold transport, use experiment with, market, distribute, exchange, sell and otherwise dispose of, import, export and handle, trade, and generally deal in, ship coal, coke, and other coal products of all grades, kinds, forms, descriptions and combinations and in general the products and by-products which may be derived, produced, prepared, developed, compounded, made or manufactured there; to acquire, own, maintain and exercise the rights and privileges under the coal operating contract within the purview of Presidential Decree No. 972, "The Coal Development Act of 1976", and any amendments thereto and to acquire, expand, rehabilitate and maintain power generating plants, develop fuel for generation of electricity and sell electricity to any person or entity through electricity markets, among others.

2. Summary of Significant Accounting Policies

Basis of Preparation

The interim unaudited condensed consolidated financial statements of the Group have been prepared in accordance with Philippine Accounting Standards (PAS) 34, Interim Financial Reporting. Accordingly, the unaudited condensed consolidated financial statements do not include all of the information and disclosures required in the annual audited financial statements, and should be read in conjunction with the Group's annual consolidated financial statements as at December 31, 2024.

The interim unaudited condensed consolidated financial statements of the Group have been prepared on a historical cost basis, except for financial assets at fair value through profit or loss (FVPL) that have been measured at fair value. The Parent Company's functional currency and the Group's presentation currency is the Philippine Peso (₱). All amounts are rounded off to the nearest Peso, except for earnings per share and par value information or unless otherwise indicated.

Statement of Compliance

The interim unaudited condensed consolidated financial statements of the Group have been prepared in compliance with Philippine Financial Reporting Standards (PFRSs).

PFRSs include Philippine Financial Reporting Standards, Philippine Accounting Standards and Interpretations issued by Philippine Interpretations Committee (PIC).

Basis of Consolidation

The interim unaudited condensed consolidated financial statements comprise the financial statements of the Parent Company and the following subsidiaries (which are all incorporated in the Philippines) as of September 30, 2025 and December 31, 2024:

Entity	Rate of Ownership
Sem-Calaca Power Corporation (SCPC)	100.00 %
Sem-Calaca RES Corporation (SCRC) ¹	100.00
Southwest Luzon Power Generation Corporation (SLPGC)	100.00
SEM-Cal Industrial Park Developers, Inc. (SIPDI)	100.00
Semirara Materials and Resources, Inc. (SMRI) ²	100.00
Semirara Energy Utilities, Inc. (SEUI)	100.00
Southeast Luzon Power Generation Corporation (SELPGC)	100.00
St. Raphael Power Generation Corporation (SRPGC) ³	100.00
Sem-Calaca Ports Facilities, Inc. (SPFI) ⁴	100.00

¹ Wholly owned subsidiary of SCPC. Started commercial operations on August 29, 2018.

² Formerly Semirara Claystone, Inc. (SCI).

³ Previously accounted as an investment in a joint venture. In 2020, SMPC entered into a deed of assignment for acquisition of remaining 50% ownership interest in SRPGC. The acquisition of SRPGC was accounted for as an asset acquisition (Note 3)

⁴ Wholly owned subsidiary of SCPC. Incorporated on December 20, 2022.

Change in Corporate Name of Semirara Claystone, Inc.

On April 15, 2022, SEC approved the change in name of Semirara Claystone, Inc. (SCI) to Semirara Materials and Resources, Inc. (SMRI).

Incorporation of Sem-Calaca Ports Facilities, Inc.

Sem-Calaca Ports Facilities, Inc. (SPFI) was incorporated on December 20, 2022 and is 100% owned by Sem-Calaca Power Corporation, a wholly owned subsidiary of SMPC. The Company is organized primarily to manage, operate and develop the ports in the Philippines.

Except for SCPC, SLPGC and SCRC, all other subsidiaries have not yet started commercial operations as of September 30, 2025.

The interim unaudited condensed consolidated financial statements are prepared using uniform accounting policies for like transactions and other events in similar circumstances. All intra-group assets and liabilities, equity, income, expenses, dividends and cash flows relating to transactions between components of the Group are eliminated in full on consolidation.

Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Control is achieved when the entity is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Specifically, the entity controls an investee if and only if the entity has the following element:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee, and

- The ability to use its power over the investee to affect its returns.

Generally, there is a presumption that a majority of voting rights results in control. To support the presumption and when the entity has less than a majority of the voting or similar rights of an investee, the entity considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee
- Rights arising from other contractual arrangements
- The Group's voting and potential voting rights

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control.

When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Group's accounting policies.

A change in the ownership interest of a subsidiary without a loss of control is accounted for as an equity transaction. If the entity loses control over a subsidiary, it:

- Derecognizes the related assets (including goodwill), liabilities, non-controlling interests (NCI) and other components of equity,
- Recognizes the fair value of the consideration received, the fair value of any investment retained and any surplus or deficit in profit or loss.
- Reclassifies the parent's share of components previously recognized in other comprehensive income to profit or loss or retained earnings, as appropriate.

Business Combination and Goodwill

Business combinations are accounted for using the acquisition method. This involves recognizing identifiable assets (including previously unrecognized intangible assets) and liabilities (including contingent liabilities and excluding future restructuring) of the acquired business at fair value. The cost of an acquisition is measured as the aggregate of the consideration transferred, measured at acquisition date fair value and the amount of any non-controlling interest in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interest in the acquiree either at fair value or at the proportionate share of the acquiree's identifiable net assets. Transaction costs incurred are charge to expense in the consolidated statement of comprehensive income.

When the Group acquires a business, it assesses the financial assets and financial liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree. If the business combination is achieved in stages, the acquisition date fair value of the acquirer's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date through profit or loss.

Any contingent consideration to be transferred by the acquirer will be recognized at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration which is deemed to be an asset or liability are recognized in accordance with PFRS 9 either in profit or loss or as change to other comprehensive income. If the contingent consideration is classified as equity, it is not remeasured and its subsequent settlement is accounted for within equity.

Goodwill is initially measured at cost (being the excess of the aggregate of the consideration transferred and the amount recognized for non-controlling interests and any previous interest held over the net identifiable assets acquired and liabilities assumed). If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group re-assesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and

reviews the procedures used to measure the amounts to be recognized at the acquisition date. If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognized in profit or loss.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Where goodwill has been allocated to a cash-generating unit (CGU) and part of the operation within that unit is disposed of, the goodwill associated with the disposed operation is included in the carrying amount of the operation when determining the gain or loss on disposal. Goodwill disposed in these circumstances is measured based on the relative values of the disposed operation and the portion of the cash-generating unit retained.

When subsidiaries are sold, the difference between the selling price and the net assets plus cumulative translation differences and goodwill is recognized in the consolidated statement of comprehensive income.

Acquisitions of non-controlling interests are accounted for as transactions with owners in their capacity as owners and therefore no goodwill or profit or loss is recognized as a result. Adjustments to non-controlling interests arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

Asset Acquisitions

To assess whether a transaction is the acquisition of a business, the Group applies first a quantitative concentration test (also known as a screening test). The Group is not required to apply the test but may elect to do so separately for each transaction or other event. If the concentration test is met, the set of activities and assets is determined not to be a business and no further assessment is required. Otherwise, or if the Group elects not to apply the test, the Group will perform the qualitative analysis of whether an acquired set of assets and activities includes at a minimum, an input and a substantive process that together significantly contribute to the ability to create outputs.

If the assets acquired and liabilities assumed in an acquisition transaction do not constitute a business as defined under PFRS 3, the transaction is accounted for as an asset acquisition. The Group identifies and recognizes the individual identifiable assets acquired (including those assets that meet the definition of, and recognition criteria for, intangible assets) and liabilities assumed. The acquisition cost is allocated to the individual identifiable assets and liabilities on the basis of their relative fair values at the date of purchase. Such transaction or event does not give rise to goodwill. Where the Group acquires a controlling interest in an entity that is not a business, but obtains less than 100% of the entity, after it has allocated the cost to the individual assets acquired, it notionally grosses up those assets and recognizes the difference as noncontrolling-interests.

When the Group obtains control over a previously held joint operation, and the joint operation does not constitute a business, the transaction is also accounted for as an asset acquisition which does not give rise to goodwill. The acquisition cost to obtain control of the joint operation is allocated to the individual identifiable assets acquired and liabilities assumed, including the additional share of any assets and liabilities previously held or incurred jointly, on the basis of their relative fair values at the date of purchase. Previously held assets and liabilities of the joint operation should remain at their carrying amounts immediately before the transaction.

Changes in Accounting Policies and Disclosures

The accounting policies adopted in the preparation of the consolidated financial statements are consistent with those of the previous financial year, except for the adoption of the following new accounting pronouncements starting January 1, 2024. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Unless otherwise indicated, adoption of these new standards did not have an impact on the consolidated financial statements of the Group.

- Amendments to PAS 1, *Classification of Liabilities as Current or Non-current*

The amendments clarify:

- That only covenants with which an entity must comply on or before reporting date will affect a liability's classification as current or non-current.
- That classification is unaffected by the likelihood that an entity will exercise its deferral right.
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification.

- Amendments to PFRS 16, *Lease Liability in a Sale and Leaseback*

The amendments specify how a seller-lessee measures the lease liability arising in a sale and leaseback transaction in a way that it does not recognize any amount of the gain or loss that relates to the right of use retained.

- Amendments to PAS 7 and PFRS 7, *Disclosures: Supplier Finance Arrangements*

The amendments specify disclosure requirements to enhance the current requirements, which are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

Standards Issued but not yet Effective

Pronouncements issued but not yet effective are listed below. Unless otherwise indicated, the Group does not expect that the future adoption of the said pronouncements will have a significant impact on its consolidated financial statements. The Group intends to adopt the following pronouncements when they become effective.

Effective beginning on or after January 1, 2025

- PFRS 17, *Insurance Contracts*

PFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure.

PFRS 17 is effective for reporting periods beginning on or after January 1, 2025, with comparative figures required. Early application is permitted.

This standard is not applicable to the Group.

- Amendments to PAS 21, *Lack of exchangeability*

The amendments specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking.

The amendments are effective for annual reporting periods beginning on or after January 1, 2025. Earlier adoption is permitted and that fact must be disclosed. When applying the amendments, an entity cannot restate comparative information.

These amendments are not expected to have a material impact on the Group's consolidated financial statements.

Effective beginning on or after January 1, 2026

- Amendments to PFRS 9 and PFRS 7, *Classification and Measurement of Financial Instruments*

The amendments clarify that a financial liability is derecognized on the 'settlement date', i.e., when the related obligation is discharged, cancelled, expires or the liability otherwise qualifies for derecognition. They also introduce an accounting policy option to derecognize financial liabilities that are settled through an electronic payment system before settlement date if certain conditions are met.

The amendments also clarify how to assess the contractual cash flow characteristics of financial assets that include environmental, social and governance (ESG)-linked features and other similar contingent features. Furthermore, the amendments clarify the treatment of non-recourse assets and contractually linked instruments.

These amendments are not expected to have a material impact on the Group's consolidated financial statements.

- Annual Improvements to PFRS Accounting Standards—Volume 11

The amendments are limited to changes that either clarify the wording in an Accounting Standard or correct relatively minor unintended consequences, oversight or conflicts between the requirements in the Accounting Standards. The following is the summary of the Standards involved and their related amendments.

- Amendments to PFRS 1, *Hedge Accounting by a First-time Adopter*

The amendments included in paragraphs B5 and B6 of PFRS 1 cross references to the qualifying criteria for hedge accounting in paragraph 6.4.1(a), (b) and (c) of PFRS 9. These are intended to address potential confusion arising from an inconsistency between the wording in PFRS 1 and the requirements for hedge accounting in PFRS 9.

- Amendments to PFRS 7, *Gain or Loss on Derecognition*

The amendments updated the language of paragraph B38 of PFRS 7 on unobservable inputs and included a cross reference to paragraphs 72 and 73 of PFRS 13.

- Amendments to PFRS 9

- Lessee Derecognition of Lease Liabilities

The amendments to paragraph 2.1 of PFRS 9 clarified that when a lessee has determined that a lease liability has been extinguished in accordance with PFRS 9, the lessee is required to apply paragraph 3.3.3 and recognize any resulting gain or loss in profit or loss.

- **Transaction Price**

The amendments to paragraph 5.1.3 of PFRS 9 replaced the reference to 'transaction price as defined by PFRS 15 *Revenue from Contracts with Customers*' with 'the amount determined by applying PFRS 15'. The term 'transaction price' in relation to PFRS 15 was potentially confusing and so it has been removed. The term was also deleted from Appendix A of PFRS 9.

- **Amendments to PFRS 10, *Determination of a 'De Facto Agent'***

The amendments to paragraph B74 of PFRS 10 clarified that the relationship described in B74 is just one example of various relationships that might exist between the investor and other parties acting as de facto agents of the investor.

- **Amendments to PAS 7, *Cost Method***

The amendments to paragraph 37 of PAS 7 replaced the term 'cost method' with 'at cost', following the prior deletion of the definition of 'cost method'.

These amendments are not expected to have a material impact on the Group's consolidated financial statements.

Effective beginning on or after January 1, 2027

- **PFRS 18, *Presentation and Disclosure in Financial Statements***

The standard replaces PAS 1 Presentation of Financial Statements and responds to investors' demand for better information about companies' financial performance. The new requirements include:

- Required totals, subtotals and new categories in the statement of profit or loss
- Disclosure of management-defined performance measures
- Guidance on aggregation and disaggregation

The Group is assessing the impact of adopting this accounting standard.

- **PFRS 19, *Subsidiaries without Public Accountability***

The standard allows eligible entities to elect to apply PFRS 19's reduced disclosure requirements while still applying the recognition, measurement and presentation requirements in other PFRS accounting standards. The application of the standard is optional for eligible entities.

This standard is not applicable to the Group.

Deferred effectivity

- **Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture***

The amendments address the conflict between PFRS 10 and PAS 28 in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture. The amendments clarify that a full gain or loss is recognized when a transfer to an associate or joint venture involves a business as defined in PFRS 3. Any gain or loss resulting from the sale or contribution of assets that does not constitute a business, however, is recognized only to the extent of unrelated investors' interests in the associate or joint venture.

On January 13, 2016, the Financial and Sustainability Reporting Standards Council deferred the original effective date of January 1, 2016 of the said amendments until the IASB completes its broader review of the research project on equity accounting that may result in

the simplification of accounting for such transactions and of other aspects of accounting for associates and joint ventures.

These amendments are not expected to have a material impact on the Group's consolidated financial statements.

Material Accounting Policies

The material accounting policies that have been used in the preparation of financial statements are summarized below. These accounting policies have been consistently applied to all the years presented, unless otherwise stated.

Recognition and Measurement of Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Financial assets

Initial recognition and measurement

Financial assets are classified, at initial recognition, as either subsequently measured at amortized cost, at fair value through other comprehensive income (FVOCI), or at fair value through profit or loss (FVPL).

The classification of financial assets at initial recognition that are debt instruments depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient, the Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at FVPL, transaction costs.

Trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient for contracts that have a maturity of one year or less, are measured at the transaction price determined under PFRS 15 (refer to the accounting policies in *Revenue from contracts with customers*).

In order for a financial asset to be classified and measured at amortized cost or fair value through OCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

The Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the marketplace (regular way trades) are recognized on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

As of September 30, 2025 and December 31, 2024, the Group's financial assets comprise of financial assets at amortized cost.

Subsequent measurement - Financial assets at amortized cost (debt instruments)

The Group measures financial assets at amortized cost if both of the following conditions are met:

- the asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows; and,
- the contractual terms of the financial asset give rise on specified dates to cash flows that are SPPI on the principal amount outstanding.

Financial assets at amortized cost are subsequently measured using the effective interest rate (EIR) method and are subject to impairment. Gains and losses are recognized in profit or loss when the asset is derecognized, modified or impaired.

The Group's financial assets at amortized cost includes cash and cash equivalents excluding cash on hand, receivables (excluding nonfinancial assets) and environmental guarantee fund included under other noncurrent assets.

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognized (i.e., removed from the consolidated statements of financial position) when:

- the rights to receive cash flows from the asset have expired, or,
- the Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Group has transferred substantially all the risks and rewards of the asset, or (b) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if, and to what extent, it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group continues to recognize the transferred asset to the extent of its continuing involvement. In that case, the Group also recognized an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

Modification of contractual cash flows

When the contractual cash flows of a financial asset are renegotiated or otherwise modified and the renegotiation or modification does not result in the derecognition of that financial asset, the Group recalculates the gross carrying amount of the financial asset as the present value of the renegotiated or modified contractual cash flows discounted at the original EIR (or credit-adjusted EIR for purchased or originated credit-impaired financial assets) and recognizes a modification gain or loss in the consolidated statements of income.

When the modification of a financial asset results in the derecognition of the existing financial asset and the subsequent recognition of the modified financial asset, the modified asset is considered a 'new' financial asset. Accordingly, the date of the modification shall be treated as the date of initial recognition of that financial asset when applying the impairment requirements to the modified financial asset.

Impairment of financial assets

The Group recognizes an allowance for Expected Credit Losses (ECLs) for all debt instruments not held at FVPL. ECLs are based on the difference between the contractual cash flows due in

accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original effective interest rate (EIR). The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognized in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12 months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For trade receivables, the Group applies a simplified approach in calculating ECLs. Therefore, the Group does not track changes in credit risk, but instead recognizes a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

For other financial assets such receivable from related parties, other receivables, advances to supplier and contractors and refundable deposits, ECLs are recognized in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For cash and cash equivalents, the Group applies the low credit risk simplification. The probability of default and loss given defaults are publicly available and are considered to be low credit risk investments. It is the Group's policy to measure ECLs on such instruments on a 12-month basis. However, when there has been a significant increase in credit risk since origination, the allowance will be based on the lifetime ECL. The Group uses the ratings from Standard & Poor's (S&P), Moody's and Fitch to determine whether the debt instrument has significantly increased in credit risk and to estimate ECLs.

The Group considers a financial asset in default when contractual payments are 30 days past due. However, in certain cases, the Group may also consider a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

Financial liabilities

Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at FVPL, loans and borrowings, payables, or as derivatives designated as hedging instruments in an effective hedge, as appropriate.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Group's financial liabilities are trade and other payables (except statutory payables), short-term and long-term debt and lease liabilities.

Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

Loans and borrowings (Financial liabilities at amortized cost)

This is the category most relevant to the Group. After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortized cost using the EIR method. Gains and losses are recognized in profit or loss when the liabilities are derecognized as well as through the EIR amortization process.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included as finance costs in consolidated statement of comprehensive income.

This category generally applies to trade and other payables, short-term and long-term debt and lease liabilities.

Derecognition

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in the Group's consolidated statement of comprehensive income.

Deferred Financing Costs

Deferred financing costs represent debt issue costs arising from the fees incurred to obtain project financing. This is included in the initial measurement of the related debt. The deferred financing costs are treated as a discount on the related debt and are amortized using the EIR method over the term of the related debt.

Inventories

Inventories are valued at the lower of cost and net realizable value (NRV). NRV is the estimated selling price in the ordinary course of business, less estimated costs necessary to make the sale for coal inventory or replacement cost for spare parts and supplies. Cost is determined using the weighted average production cost method for coal inventory and the moving average method for spare parts and supplies.

The cost of extracted coal includes stripping costs and other mine-related costs incurred during the period and allocated on per metric ton basis by dividing the total production cost with total volume of coal produced. Except for ship loading cost, which is a period cost, all other production related costs are charged to production cost.

Spare parts and supplies, which are usually carried as inventories, are mainly used for the maintenance of equipment are recognized in the statement of comprehensive income once installed and consumed.

Inventories transferred to property, plant and equipment are used as a component of self-constructed property, plant and equipment and are recognized as expense during useful life of that asset. Transfers of inventories to property, plant and equipment do not change the carrying amount of the inventories transferred, and that carrying amount becomes cost for recognition.

Assets Held-for-Sale

The Group classifies non-current assets and disposal groups as held-for-sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. Noncurrent assets classified as held-for-sale are carried at the lower of carrying amount and

fair value less costs to sell. Costs to sell are the incremental costs directly attributable to the disposal of an asset (disposal group), excluding finance costs and income tax expense.

The criteria for held-for-sale classification under PFRS 5, *Noncurrent Assets Held-for-Sale and Discontinued Operations* is regarded as met only when the sale is highly probable and the asset is available for immediate sale in its present condition. Actions required to complete the sale should indicate that it is unlikely that significant changes to the sale will be made or that the decision to sell will be withdrawn. Management must be committed to the plan to sell the asset and the sale is expected to be completed within one year from the date of the classification. Events or circumstances may extend the period to complete the sale beyond one year. An extension of the period required to complete a sale does not preclude an asset (or disposal group) from being classified as held for sale if the delay is caused by events or circumstances beyond the Group's control and there is sufficient evidence that the Group remains committed to its plan to sell the asset (or disposal group).

Property, plant and equipment are not depreciated or amortized once classified as held-for-sale. Assets classified as held-for-sale are presented separately as current items in the consolidated statement of financial position.

Immediately before the initial classification of the asset as held-for-sale, the carrying amount of the Asset will be measured in accordance with applicable PFRSs. Any impairment loss on initial classification and subsequent measurement is recognized as an expense. Any subsequent increase in fair value less costs to sell (not exceeding the accumulated impairment loss that has been previously recognized) is recognized in profit or loss.

Stripping Costs

As part of its mining operations, the Group incurs stripping (waste removal) costs both during the development phase and production phase of its operations. Stripping costs incurred in the development phase of a mine, before the production phase commences (development stripping), are capitalized as part of the cost of mine properties and subsequently amortized over its useful life using the units-of-production method over the mine life. The capitalization of development stripping costs ceases when the mine/component is commissioned and ready for use as intended by management.

After the commencement of production, further development of the mine may require a phase of unusually high stripping that is similar in nature to development phase stripping. The costs of such stripping are accounted for in the same way as development stripping (as discussed above).

Stripping costs incurred during the production phase are generally considered to create two benefits, being either the production of inventory or improved access to the coal body to be mined in the future. Where the benefits are realized in the form of inventory produced in the period, the production stripping costs are accounted for as part of the cost of producing those inventories.

Where the benefits are realized in the form of improved access to ore to be mined in the future, the costs are recognized as a noncurrent asset, referred to as a stripping activity asset, if the following criteria are met:

- Future economic benefits (being improved access to the coal body) are probable;
- The component of the coal body for which access will be improved can be accurately identified; and,
- The costs associated with the improved access can be reliably measured.

If all of the criteria are not met, the production stripping costs are charged to the consolidated statement of comprehensive income as operating costs as they are incurred.

In identifying components of the coal body, the Group works closely with the mining operations department for each mining operation to analyze each of the mine plans. Generally, a

component will be a subset of the total coal body, and a mine may have several components. The mine plans, and therefore the identification of components, can vary between mines for a number of reasons. These include, but are not limited to, the type of commodity, the geological characteristics of the coal body, the geographical location, and/or financial considerations.

The stripping activity asset is initially measured at cost, which is the accumulation of costs directly incurred to perform the stripping activity that improves access to the identified component of coal body, plus an allocation of directly attributable overhead costs. If incidental operations are occurring at the same time as the production stripping activity but are not necessary for the production stripping activity to continue as planned, these costs are not included in the cost of the stripping activity asset. If the costs of the inventory produced and the stripping activity asset are not separately identifiable, a relevant production measure is used to allocate the production stripping costs between the inventory produced and the stripping activity asset. This production measure is calculated for the identified component of the coal body and is used as a benchmark to identify the extent to which the additional activity of creating a future benefit has taken place.

The stripping activity asset is accounted for as an addition to, or an enhancement of, an existing asset, being the mine asset, and is included as part of 'Mine properties, mining tools and other equipment' under 'Property, plant and equipment' in the consolidated statement of financial position. This forms part of the total investment in the relevant cash generating unit (CGU), which is reviewed for impairment if events or changes of circumstances indicate that the carrying value may not be recoverable.

The stripping activity asset is subsequently depreciated using the units-of-production method over the life of the identified component of the coal body that became more accessible as a result of the stripping activity. Economically recoverable reserves, which comprise proven and probable reserves, are used to determine the expected useful life of the identified component of the coal body. The stripping activity asset is then carried at cost less amortization and any impairment losses.

Mineable Ore Reserves

Mineable ore reserves are estimates of the amount of coal that can be economically and legally extracted from the Group's mining properties. The Group estimates its mineable ore reserves based on information compiled by appropriately qualified persons relating to the geological data on the size, depth and shape of the coal body, and require complex geological judgments to interpret the data.

The estimate on the mineable ore reserve is determined based on the information obtained from activities such as drilling, core logging or geophysical logging, coal sampling, sample database encoding, coal seam correlation and geological modelling. The Group will then estimate the recoverable reserves based upon factors such as estimates of commodity prices, future capital requirements, foreign currency exchange rates, and production costs along with geological assumptions and judgments made in estimating the size and grade of the coal body. Changes in the reserve or resource estimates may impact the amortization of mine properties included as part of 'Mine properties, mining tools and other equipment' under 'Property, plant and equipment'.

Property, Plant and Equipment

Upon completion of exploration, evaluation and development of the mine, the capitalized assets are transferred into property, plant and equipment. Items of property, plant and equipment except land, equipment in transit and construction in progress are carried at cost less accumulated depreciation and any impairment in value.

The initial cost of property, plant and equipment also comprises its purchase price or construction cost, including non-refundable import duties, taxes, borrowing costs and any directly attributable costs of bringing the asset to its working condition and location for its intended use. Expenditures

incurred after the fixed assets have been put into operation, such as repairs and maintenance and overhaul costs, are normally charged to operations in the year when the costs are incurred. In situations where it can be clearly demonstrated that the expenditures have resulted in an increase in the future economic benefits expected to be obtained from the use of an item of property, plant and equipment beyond its originally assessed standard of performance, and the costs of these items can be measured reliably, the expenditures are capitalized as an additional cost of the property, plant and equipment. The present value of the expected cost for the decommissioning of the asset after its use is included in the cost of the respective asset if the recognition criteria for a provision are met.

Equipment in transit and construction in progress, included in property, plant and equipment, are stated at cost. Construction in progress includes the cost of the construction of property, plant and equipment and, for qualifying assets, borrowing cost. Equipment in transit includes the acquisition cost of mining equipment and other direct costs.

Mine properties consist of stripping activity asset and expenditures transferred from 'Deferred Mine Exploration Cost' once the work completed supports the future development of the property.

Mine properties are depreciated or amortized on a units-of-production basis over the economically mineable reserves of the mine concerned. Mine properties are included as part of 'Mine properties, mining tools and other equipment' under 'Property, plant and equipment' in the consolidated statement of financial position.

Each part of an item of property, plant and equipment with a cost that is significant in relation to the total cost of the item is depreciated separately. Depreciation of property, plant and equipment commences once the assets are put into operational use.

Depreciation of property, plant and equipment, except mine properties, are computed on a straight-line basis over the estimated useful lives (EUL) of the respective assets or over the remaining life of the mine, whichever is shorter, as follows:

	Years
Machineries and mining equipment	2 to 3
Power plant and buildings	5 to 25
Roads and bridges	10

The EUL and depreciation method are reviewed periodically to ensure that the period and method of depreciation are consistent with the expected pattern of economic benefits from items of property, plant and equipment.

Land is stated at historical cost less any accumulated impairment losses. Historical cost includes the purchase price and directly attributable costs.

An item of property, plant and equipment is derecognized upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. When assets are retired, or otherwise disposed of, the cost and the related accumulated depreciation are removed from the accounts. Any gain or loss arising from derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the item) is included in the consolidated statement of comprehensive income in the year the item is derecognized.

Deferred Mine Exploration Costs

Exploration and evaluation activity involves the search for mineral resources, the determination of technical feasibility and the assessment of commercial viability of an identified resource.

Exploration and evaluation activity includes:

- acquisition of rights to explore
- topographical, geological, geochemical and geophysical studies
- exploratory drilling
- trenching
- sampling
- activities in relation to evaluating the technical feasibility and commercial viability of extracting a mineral resource

License costs paid in connection with a right to explore in an existing exploration area are capitalized and amortized over the term of the permit.

In evaluating whether the expenditures meet the criteria to be capitalized, several different sources of information are used. The information that is used to determine the probability of future benefits depends on the extent of exploration and evaluation that has been performed.

Expenditure on exploration and evaluation is accounted for in accordance with the area of interest method. Exploration and evaluation expenditure is capitalized provided the rights to tenure of the area of interest is current and either: the exploration and evaluation activities are expected to be recouped through successful development and exploitation of the area of interest or, alternatively, by its sale; or exploration and evaluation activities in the area of interest have not, at the reporting date, reached a stage that permits a reasonable assessment of the existence or otherwise of economically recoverable reserves, and active and significant operations in, or relating to, the area of interest are continuing.

When the technical feasibility and commercial viability of extracting a mineral resource have been demonstrated, then, any fulfillment exploration and evaluation expenditure is reclassified as mine properties and mine development costs included as part of property, plant and equipment. Prior to reclassification, exploration and evaluation expenditure is assessed for impairment.

Exploration areas are considered permanently abandoned if the related permits of the exploration have expired and/or there are no definite plans for further exploration and/or development.

Other Assets

Other assets pertain to all other resources controlled by the Group as a result of past events and from which future economic benefits are probable to flow to the Group. If assets are expected to be realized within 12 months from end of reporting period, these are classified as current. Otherwise, these are classified as noncurrent.

Creditable withholding tax

Creditable withholding taxes are classified at the amount expected to be utilized and are available for offset against income tax payable in future periods. The assets expected to be expensed or consumed within 12 months from reporting date are classified as current assets; otherwise, they are classified as noncurrent assets.

Advances to Suppliers and Contractors

Advances to suppliers and contractors are recognized in the consolidated statement of financial position when it is probable that the future economic benefits will flow to the Group and the assets have cost or value that can be measured reliably. These assets are regularly evaluated for any impairment in value. Classification is based on actual realization of such advances considering the usage or realization of the asset to which it is intended for (e.g., inventory, property plant and equipment).

Prepayments

Prepayments are amounts paid in advance for goods and services that are yet to be delivered and from which future economic benefits are expected to flow to the Group within its normal

operating cycle or within 12 months from end of reporting period. These are measured at amortized cost less any impairment loss.

Value-Added Taxes (VAT)

Revenues, expenses, and assets are recognized net of the amount of VAT, if applicable. Input VAT pertains to the 12% indirect tax paid by the Group in the course of the Group's trade or business on local purchase of goods or services.

Deferred input VAT pertains to input VAT not yet charged against output VAT in compliance to relevant BIR regulations. This also includes the remaining unamortized portion of input VAT from acquisition of capital goods prior to January 1, 2022. Under the TRAIN Law, starting January 1, 2022, all input VAT on purchases of capital goods shall already be allowed to be claimed outright and shall no longer be subject to amortization. Output VAT pertains to the 12% tax due on the local sale of goods and services by the Group.

For its VAT-registered activities, when VAT from sales of goods and/or services (output VAT) exceeds VAT passed on from purchases of goods or services (input VAT), the excess is recognized as payable in the consolidated statement of financial position. When VAT passed on from purchases of goods or services (input VAT) exceeds VAT from sales of goods and/or services (output VAT), the excess is recognized as an asset in the consolidated statement of financial position up to the extent of the recoverable amount.

For its non-VAT registered activities, the amount of VAT passed on from its purchases of goods or service is recognized as part of the cost of goods/asset acquired or as part of the expense item, as applicable.

Investment in Associate

An associate is an entity in which the Group has significant influence, and which is neither a subsidiary nor a joint venture. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

The considerations made in determining significant influence are similar to those necessary to determine control over subsidiaries. The Group's investments in associates are accounted for using the equity method.

Under the equity method, the investment in associate is initially recognized at cost. The carrying amount of the investment is adjusted to recognize changes in the Group's share of net assets of the associate since the acquisition date. Goodwill relating to the associate is included in the carrying amount of the investment and is neither amortized nor tested for impairment individually.

The consolidated statement of income reflects the Group's share of the results of operations of the associate. Any change in OCI of those investees is presented as part of the Group's OCI. In addition, when there has been a change recognized directly in the equity of the associate, the Group recognizes its share of any changes, when applicable, in the consolidated statement of changes in equity. Unrealized gains and losses resulting from transactions between the Group and the associate are eliminated to the extent of the interest in the associate.

The aggregate of the Group's share in profit or loss of an associate is shown on the face of the consolidated statement of income outside operating profit and represents profit or loss after tax and noncontrolling-interests in the subsidiaries of the associate. If the Group's share of losses of an associate equal or exceeds its interest in the associate, the Group discontinues recognizing its share to the extent of the interest in associate.

The financial statements of associate are prepared for the same reporting period as the Group. When necessary, adjustments are made to bring the accounting policies in line with those of the

Group. Upon loss of significant influence over the associate, the Group measures and recognizes any retained investment at its fair value. Any difference between the carrying amount of the associate upon loss of significant influence or joint control and the fair value of the retained investment and proceeds from disposal is recognized in the consolidated statement of income.

Impairment of Nonfinancial Assets

The Group assesses at each reporting date whether there is an indication that its nonfinancial assets (investment in associate or joint venture, right-of-use assets, other current and noncurrent assets (except for financial asset at FVPL), and property, plant and equipment) may be impaired. If any such indication exists, or when an annual impairment testing for an asset is required, the Group makes an estimate of the asset's recoverable amount.

Property, plant and equipment, right-of-use assets and other current and noncurrent assets

An asset's recoverable amount is the higher of an asset's or cash generating unit's fair value less cost to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that largely independent of those from other assets or group of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

Impairment losses are recognized in the consolidated statement of comprehensive income in those expense categories consistent with the function of the impaired asset.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If any such indication exists, the recoverable amount is estimated. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If such is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation or amortization, had no impairment loss been recognized for the asset in prior years.

For property, plant and equipment, right-of-use assets and other current and noncurrent assets, reversal is recognized in the consolidated statements of comprehensive income, unless the asset is carried at revalued amount, in which case, the reversal is treated as a revaluation increase. After such reversal, the depreciation charge is adjusted in future periods to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life.

Revenue and Income Recognition

Revenue from Contracts with Customers

The Group primarily derives its revenue from the sale of coal and power. Revenue from contracts with customers is recognized when control of the goods or services is transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled in exchange for those goods or services. The Group has generally concluded that it is acting as principal in all of its significant revenue arrangements since it is the primary obligor in these revenue arrangements.

The disclosures of significant accounting judgements, estimates and assumptions relating to revenue from contracts with customers are provided in Note 3.

Sale of coal

Revenue is recognized when control passes to the customer, which occurs at a point in time once the performance obligation to the customer is satisfied. The revenue is measured at the amount to which the Group expects to be entitled, being the price expected to be received upon final billing, and a corresponding trade receivable is recognized.

Revenue from local and export coal sales are denominated in Philippine Peso and US Dollar (US\$), respectively.

Contracted power sales

Contracted power sales pertain to sales of generated or purchased electricity to customers under Power Supply Agreement (PSA) and are recognized over time, using the output method. This is measured on actual energy delivered or nominated by the customer, net of adjustments, as agreed between parties.

Spot electricity sales

Revenue from spot electricity sales is derived from the sale to the spot market of excess generated electricity over the contracted energy using price determined by the spot market or Wholesale Electricity Spot Market (WESM) as mandated by Republic Act (RA) No. 9136 of the Department of Energy (DOE). Revenue from spot electricity sales is recognized over time using an output method measured principally on actual generation delivered to trading participants of WESM.

Under PFRS 15, the Group has concluded that revenue from power sales (contracted and spot sales) should be recognized over time since the customer simultaneously receives and consumes the benefits as the seller supplies power. In this case, any fixed capacity payments for the entire contract period is determined at contract inception and is recognized over time.

Finance income

Finance income is recognized as it accrues. The Group's finance income mainly pertains to interest on cash in banks and cash equivalents.

Other income

Other income is recognized when earned or when the right to receive payment is established. Other income includes recoveries from insurance claims which is recognized when receipts of economic benefits are virtually certain.

Cost of Sales

Cost of coal

Cost of coal includes directly related production costs such as materials and supplies, fuel and lubricants, outside services, depreciation and amortization, provision for decommissioning and mine site rehabilitation, direct labor and other related production overhead. These costs are recognized when incurred.

Cost of power

Cost of power includes costs directly related to the generation and sale of electricity such as cost of coal, coal handling expenses, bunker, lube, diesel, depreciation and other related generation overhead costs. Cost of power are recognized at the time the related coal, bunker, lube and diesel inventories are consumed for the generation of electricity. Cost of power also includes electricity purchased from the spot market and its related market fees. These costs are recognized when the Group receives the electricity and simultaneously sells to its customers.

Operating Expenses

Operating expenses are expenses that arise in the course of the ordinary operations of the Group. These usually take the form of an outflow or decrease of assets or incurrence of liabilities

that result in decrease in equity, other than those relating to distribution to equity participants. Expenses are recognized in the consolidated statement of comprehensive income as incurred.

Contract balances

Trade receivables

Trade receivables represent the Group's right to an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due).

Contract fulfillment costs

The Group incurs shiploading costs for each coal delivery made under its contracts with customers.

The Group has elected to apply the practical expedient option for costs to fulfill a contract which allows the Group to immediately expense shiploading costs (presented as part of cost of sales under 'Hauling and shiploading costs') because the amortization period of the asset that the Group otherwise would have used is one (1) year or less.

Borrowing Costs

Borrowing costs directly relating to the acquisition, construction or production of a qualifying capital project under construction are capitalized and added to the project cost during construction until such time the assets are considered substantially ready for their intended use i.e., when they are capable of commercial production. Where funds are borrowed specifically to finance a project, the amount capitalized represents the actual borrowing costs incurred. Where surplus funds are available for a short term, out of money borrowed specifically to finance a project, the income generated from the temporary investment of such amounts is also capitalized and deducted from the total capitalized borrowing cost. Where the funds used to finance a project form part of general borrowings, the amount capitalized is calculated using a weighted average of rates applicable to relevant general borrowings of the Group during the period.

All other borrowing costs are recognized in the consolidated statement of comprehensive income in the period in which they are incurred.

Foreign Currency Translations and Transactions

The consolidated financial statements are presented in Philippine Peso. Each entity in the Group determines its own functional currency and items included in the consolidated financial statements of each entity are measured using that functional currency.

Transactions in foreign currencies are initially recorded in the functional currency rate at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency closing rate at the reporting date. All differences are taken to consolidated statement of income. Non-monetary items that are measured in terms of historical cost in foreign currency are translated using the exchange rates as at the dates of initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

Pension Cost

The Group has a noncontributory defined benefit plan. The net defined benefit liability or asset is the aggregate of the present value of the defined benefit liability at the end of reporting date reduced by the fair value of plan assets (if any), adjusted for any effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The cost of providing benefits under the defined benefit plan is actuarially determined using the projected unit credit method.

Defined benefit costs comprise the following:

- Service costs
- Net interest on the net defined benefit liability or asset
- Remeasurements of net defined benefit liability or asset

Service costs which include current service costs, past service costs and gains or losses on non-routine settlements are recognized as expense in profit or loss. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated periodically by independent qualified actuaries.

Net interest on the net defined benefit liability or asset is the change during the period in the net defined benefit liability or asset that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net defined benefit liability or asset. Net interest on the net defined benefit liability or asset is recognized as expense or income in profit or loss.

Remeasurements comprising actuarial gains and losses, return on plan assets and any change in the effect of the asset ceiling (excluding net interest on defined benefit liability) are recognized immediately in other comprehensive income in the period in which they arise. Remeasurements are not reclassified to profit or loss in subsequent periods.

Plan assets are assets that are held by a long-term employee benefit fund or qualifying insurance policies. Plan assets are not available to the creditors of the Group, nor can they be paid directly to the Group. Fair value of plan assets is based on market price information. When no market price is available, the fair value of plan assets is estimated by discounting expected future cash flows using a discount rate that reflects both the risk associated with the plan assets and the maturity or expected disposal date of those assets (or, if they have no maturity, the expected period until the settlement of the related obligations). If the fair value of the plan assets is higher than the present value of the defined benefit obligation, the measurement of the resulting defined benefit asset is limited to the present value of economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The Group's right to be reimbursed of some or all of the expenditure required to settle a defined benefit obligation is recognized as a separate asset at fair value when and only when reimbursement is virtually certain.

Termination benefit

Termination benefits are employee benefits provided in exchange for the termination of an employee's employment as a result of either an entity's decision to terminate before the normal retirement date or an employee's decision to accept an offer of benefits in exchange for the termination of employment.

A liability and expense for a termination benefit is recognized at the earlier of when the entity can no longer withdraw the offer of those benefits and when the entity recognizes related restructuring costs. Initial recognition and subsequent changes to termination benefits are measured in accordance with the nature of the employee benefit, as either post-employment benefits, short-term employee benefits, or other long-term employee benefits.

Employee leave entitlement

Employee entitlements to annual leave are recognized as a liability when they are accrued to the employees.

Leases

The determination of whether an arrangement is, or contains a lease is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is

dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

A reassessment is made after inception of the lease only if one of the following applies:

- (a) There is a change in contractual terms, other than a renewal or extension of the arrangement;
- (b) A renewal option is exercised or extension is granted, unless the term of the renewal or extension was initially included in the lease term;
- (c) There is a change in the determination of whether fulfillment is dependent on a specified asset; or
- (d) There is substantial change to the asset.

Where a reassessment is made, lease accounting shall commence or cease from the date when the change in circumstances gave rise to the reassessment for scenarios (a), (c), or (d) and at the date of renewal or extension period for scenario (b).

The Group as a lessee

The Group applies a single recognition and measurement approach for all leases, except for short-term leases. The Group recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

Right-of-use assets

The Group recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the underlying assets.

“Right-of-use assets” are presented under noncurrent assets in the consolidated statement of financial position and are subject to impairment.

Lease liabilities

At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees.

The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognized as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset.

Short-term leases

The Group applies the short-term lease recognition exemption to its leases of office spaces, storage and warehouse spaces that have lease term of 12 months or less from the commencement date and do not contain a purchase option. Lease payments on these short-term leases are recognized as expense on a straight-line basis over the lease term.

Income Tax

Current income tax

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date in the countries where the Group operates and generates taxable income.

Current income tax relating to items recognized directly in equity is recognized in equity and not in the consolidated statement of comprehensive income. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Deferred income tax

Deferred income tax is determined, using the liability method, on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognized for all taxable temporary differences, with certain exceptions. Deferred income tax assets are recognized for all deductible temporary differences, carryforward of unused tax credits from the excess of minimum corporate income tax (MCIT) over the regular corporate income tax (RCIT), and unused net operating loss carryover (NOLCO), to the extent that it is probable that sufficient taxable income will be available against which the deductible temporary differences and carryforward of unused tax credits from MCIT and unused NOLCO can be utilized. Deferred income tax, however, is not recognized on temporary differences that arise from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting income nor taxable income.

Deferred income tax liabilities are not provided on nontaxable temporary differences associated with investments in domestic subsidiaries.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable income will be available to allow all or part of the deferred tax assets to be utilized. Deferred income tax assets and liabilities are measured at the tax rates that are applicable to the period when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognized in OCI or directly in equity is recognized in the consolidated statement of comprehensive income and consolidated statement of changes in equity and not in profit or loss. Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to offset current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

For periods where the income tax holiday (ITH) is in effect, no deferred taxes are recognized in the consolidated financial statements as the ITH status of the Parent Company and subsidiaries neither result in a deductible temporary difference or temporary taxable difference. However, for temporary differences that are expected to reverse beyond the ITH, deferred taxes are recognized.

Provisions

Provisions are recognized only when the Group has: (a) a present obligation (legal or constructive) as a result of a past event; (b) it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and (c) a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as an interest expense. Provisions are reviewed at each reporting date and adjusted to reflect the current best estimate.

Provision for decommissioning and site rehabilitation costs

The Group records the present value of estimated costs of legal and constructive obligations required to restore operating locations in the period in which the obligation is incurred. The nature of these restoration activities includes closure of plants, dismantling and removing of structures, reforestation, rehabilitation activities on marine and rainwater conservation and maintenance of rehabilitated area.

The obligation generally arises when the asset is installed, or the ground environment is disturbed at the production location. When the liability is initially recognized, the present value of the estimated cost is capitalized by increasing the carrying amount of the related mining assets and restoration of power plant sites. Over time, the discounted liability is increased for the change in present value based on the discount rates that reflect current market assessments and the risks specific to the liability. The periodic unwinding of the discount is recognized in the consolidated statement of comprehensive income as a finance cost. Additional disturbances or changes in rehabilitation costs will be recognized as additions or charges to the corresponding assets and rehabilitation liability when they occur. For closed sites, changes to estimated costs are recognized immediately in the consolidated statement of comprehensive income.

Equity

The Group records common stocks at par value and amount of contribution in excess of par value is accounted for as an additional paid-in capital. Incremental costs incurred directly attributable to the issuance of new shares are deducted from proceeds.

Retained earnings represent accumulated earnings of the Group less dividends declared, if any. Dividends on common stocks are recognized as a liability and deducted from equity when they are declared. Dividends for the year that are approved after reporting date are dealt with as an event after reporting date. Retained earnings may also include effect of changes in accounting policy as may be required by the standard's transitional provisions.

Earnings per Share (EPS)

Basic EPS is computed by dividing the consolidated net income for the year attributable to common shareholders (net income less dividends on convertible redeemable preferred shares) by the weighted average number of common shares issued and outstanding during the year and adjusted to give retroactive effect to any stock dividends declared during the period.

Diluted EPS is computed by dividing the net income for the year attributable to common shareholders by the weighted average number of common shares outstanding during the year adjusted for the effects of dilutive convertible redeemable preferred shares. Diluted EPS assumes the conversion of the outstanding preferred shares. When the effect of the conversion of such preferred shares is anti-dilutive, no diluted EPS is presented.

Treasury Shares

Treasury shares pertains to own equity instruments which are reacquired and are carried at cost and are deducted from equity. No gain or loss is recognized in profit or loss on the purchase, sale, issue or cancellation of the Parent Company's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognized in additional paid-in capital. Voting rights related to treasury shares are nullified for the Group and no dividends are allocated to them. When the shares are retired, the capital stock account is reduced by its par value and the excess of cost over par value upon retirement is debited to additional paid-in capital when the shares were issued, and to retained earnings for the remaining balance.

Operating Segments

The Group's operating businesses are organized and managed separately according to the nature of the products and services provided, with each segment representing a strategic business unit that offers different products and serves different markets. The President is the chief operating decision maker. The Group generally accounts for intersegment revenues and expenses at agreed transfer prices. Income and expenses from discontinued operations are reported separate from normal income and expenses down to the level of income after taxes. Financial information on operating segments is presented in Note 31 to the consolidated financial statements.

Contingencies

Contingent liabilities are not recognized in the consolidated financial statements. These are disclosed in the notes to consolidated financial statements unless the possibility of an outflow of resources embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but disclosed when an inflow of economic benefits is probable. Contingent assets are assessed continually to ensure that developments are appropriately reflected in the consolidated financial statements. If it has become virtually certain that an inflow of economic benefits will arise, the asset and the related income are recognized in the consolidated financial statements on the period in which the change occurs.

Events after Reporting Date

Post year-end events up to the date of the auditors' report that provides additional information about the Group's position at reporting date (adjusting events) are reflected in the consolidated financial statements. Any post year-end event that is not an adjusting event is disclosed when material to the consolidated financial statements.

3. Significant Accounting Judgments, Estimates and Assumptions

The preparation of the unaudited condensed consolidated financial statements in conformity with PFRS requires management to make judgments, estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. The judgments, estimates and assumptions used in the consolidated financial statements are based upon management's evaluation of relevant facts and circumstances as of the date of the consolidated financial statements. Actual results could differ from such estimates.

Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Actual results could differ for such estimates.

Judgment

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimations which have the most significant effect on the amounts recognized in the consolidated financial statements:

a. Revenue recognition - method and measure of progress

The Group applied the following judgements that significantly affect the determination of the amount and timing of revenue from contracts with customers:

The Group concluded that revenue from coal sales is to be recognized at a point in time as the control transfers to customers at the date of shipment.

On the other hand, the Group's revenue from power sales (both contract energy and spot electricity sales) is to be recognized over time because the customer simultaneously receives and consumes the benefits provided by the Group. The fact that another entity would not need to re-perform the delivery of power that the Group has provided to date demonstrates that the customer simultaneously receives and consumes the benefits as the Group performs its obligation.

The Group has determined that output method used in measuring the progress of the performance obligation faithfully depicts the Group's performance of its obligation to its customers, since the customer obtains the benefit from the Group's performance based on actual energy delivered each month.

b. Determination of components of ore bodies and allocation measures for stripping cost allocation

The Group has identified that each of its two active mine pits, Narra and Molave, is a whole separate ore component and cannot be further subdivided into smaller components due to the nature of the coal seam orientation and mine plan.

Judgment is also required to identify a suitable production measure to be used to allocate production stripping costs between inventory and any stripping activity asset(s) for each component. The Group considers that the ratio of the expected volume of waste to be stripped for an expected volume of ore to be mined for a specific component of the coal body (i.e., stripping ratio) is the most suitable production measure. The Group recognizes stripping activity asset by comparing the actual stripping ratio during the year for each component and the component's mine life stripping ratio.

c. Classification of asset held-for-sale

The Group classified its 2x25 MW gas turbine plant as asset held-for-sale under PFRS 5, *Noncurrent Assets Held-for-Sale and Discontinued Operations*, as result of the assessment that the assets' carrying amount will be recovered principally through a sale transaction rather than through continuing use.

The following criteria are met:

- a) The asset is available for immediate sale in its present condition.
- b) The sale is highly probable to be completed within 12 months from the classification date.
- c) The Group is committed to sell the 2x25 MW gas turbine plant as evidenced by the approval of the Group's BOD on August 2, 2022, and the clearances obtained from relevant government agencies.
- d) The Group has initiated an active programme to locate a buyer upon approval of the BOD.
- e) The Group determined that it is unlikely that the plan will be significantly changed or withdrawn.

The Group identified that the above criteria are met in October 2022 upon completely securing all relevant clearances from regulatory bodies to disconnect, deregister, decommission and sell the asset and reclassified the asset as held-for-sale.

d. Contingencies

The Group is currently involved in various legal proceedings and other claims. The estimate of the probable costs for the resolution of these claims has been developed in consultation

with internal and outside counsels handling the Group's defense in these matters and is based upon an analysis of potential results. The Group currently believes that these claims will not have a material adverse effect on its current financial position and results of operations. It is possible, however, that future results of operations and financial position could be materially affected by changes in the assessment or in the effectiveness of the strategies relating to these proceedings.

e. Determination of lease term of contracts with renewal and termination options - Group as a lessee

The Group determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised.

The Group applies judgement in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Group reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew or to terminate (e.g., construction of significant leasehold improvements or significant customization to the leased asset).

The Group did not include the renewal and termination period of several lease contracts since the renewal and termination options is based on mutual agreement, thus not enforceable.

Management's Use of Estimates and Assumptions

The key assumptions concerning the future and other sources of estimation uncertainty at reporting date that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

a. Estimating mineable ore reserves

The Group uses the mineable ore reserve in the determination of the amount of amortization of mine properties using units-of-production method. The Group estimates its mineable ore reserves based on the assessment performed by the external and internal specialist engaged by the Group, who are professionally qualified mining engineers and geologists (specialists). These estimates on the mineable ore resource and reserves are determined based on the information obtained from activities such as drilling, core logging or geophysical logging, coal sampling, sample database encoding, coal seam correlation and geological modelling.

The carrying values of mine properties included as part of 'Mine properties, mining tools and other equipment' under 'Property, plant and equipment' amounted to ₱1,955.26 million and ₱3,838.25 million as of September 30, 2025 and December 31, 2024, respectively.

b. Estimating provision for expected credit losses of trade and other receivables

The Group uses a provision matrix to calculate ECLs for trade receivables. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns (i.e., by customer type).

The provision matrix is initially based on the Group's historical observed default rates. The Group will calibrate the matrix to adjust the historical credit loss experience with forward-looking information such as inflation and foreign exchange rates. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analyzed.

The assessment of the correlation between historical observed default rates, forecast economic conditions, and ECL is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Group's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future.

The Group has considered impact of COVID-19 pandemic and revised its assumptions in determining the macroeconomic variables and loss rates in the computation of ECL. The changes in the gross carrying amounts of receivables during the year and impact of COVID-19 pandemic did not materially affect the allowance for ECLs.

c. *Estimating stockpile inventory quantities*

The Group estimates the stockpile inventory of clean and unwashed coal by conducting a topographic survey which is performed by in-house and third-party surveyors. The survey is conducted by in-house surveyors on a monthly basis with a confirmatory survey by third party surveyors at year end. The process of estimation involves a predefined formula which considers an acceptable margin of error of plus or minus five percent (5%). Thus, an increase or decrease in the estimation threshold for any period would differ if the Group utilized different estimates and this would either increase or decrease the profit for the year.

The coal inventory as of September 30, 2025 and December 31, 2024 amounted to ₱3,195.51 million and ₱1,389.51 million, respectively.

d. *Estimating allowance for obsolescence in spare parts and supplies*

The Group provides 100% allowance for obsolescence on items that are specifically identified as obsolete. The amount of recorded inventory obsolescence for any period would differ if the Group made different judgments or utilized different estimates. An increase in the allowance for inventory obsolescence would increase the Group's recorded operating expenses and decrease its current assets.

e. *Estimating recoverability of capitalized development costs*

Initial capitalization of costs is based on management's judgment that technological and economic feasibility is confirmed. In determining the amounts to be capitalized, management makes assumptions regarding the expected future cash generation of the project, discount rates to be applied and the expected period of benefits.

f. *Estimating provision for decommissioning and site rehabilitation costs*

The Group is legally required to fulfill certain obligations under its Department of Environment and Natural Resources (DENR) issued Environmental Compliance Certificate when its activities have ended in the depleted mine pits. The Group assesses its mine rehabilitation provision annually. Significant estimates and assumptions are made in determining the provision for decommissioning and mine site rehabilitation costs as there are numerous factors that will affect the ultimate liability. These factors include estimates of the extent and costs of rehabilitation activities given the approved decommissioning and mine site rehabilitation plan, (e.g., cost of backfilling, reforestation, rehabilitation activities on marine and rainwater conservation and maintenance of the rehabilitated area), technological changes, regulatory changes, cost increases, and changes in inflation rates and discount rates. These uncertainties may result in future actual expenditure differing from the amounts currently provided.

An increase in decommissioning and site rehabilitation costs would increase the carrying amount of the related assets and increase noncurrent liabilities. The provision at reporting date represents management's best estimate of the present value of the future rehabilitation costs required. Assumptions used to compute the decommissioning and site rehabilitation costs are reviewed and updated annually.

g. Impairment assessment of nonfinancial assets

The Group reviews its nonfinancial assets for impairment. This includes considering certain indicators of impairment such as the following:

- Significant or prolonged decline in the fair value of the asset;
- Increase in market interest rates or other market rates of return on investments have increased during the period, and those increases are likely to affect the discount rate used in calculating the asset's value-in-use and decrease the asset's recoverable amount materially;
- Significant underperformance relative to expected historical or projected future operating results;
- Significant changes in the manner of use of the acquired assets or the strategy for overall business;
- Significant negative industry or economic trends; or
- Significant changes with an adverse effect that have taken place in the technological, market, economic or legal environment where the Group operates.

When indicators exist, an impairment loss is recognized whenever the carrying amount of an asset exceeds its recoverable amount.

Management believes that no impairment indicator exists for the Group's other nonfinancial assets.

h. Estimating useful lives of depreciable property, plant and equipment

The Group estimated the useful lives of its property, plant and equipment (except land, equipment in transit and construction in progress) based on the period over which the assets are expected to be available for use. The estimated useful lives of property, plant and equipment are reviewed at least annually and are updated if expectations differ from previous estimates due to physical wear and tear and technical or commercial obsolescence on the use of these assets.

It is possible that future results of operations could be materially affected by changes in these estimates brought about by changes in factors mentioned above. A reduction in the estimated useful lives of property, plant and equipment would increase depreciation expense and decrease noncurrent assets.

In estimating the useful life of depreciable assets that are constructed in a leased property, the Group considers the enforceability of and the intent of management to exercise the option to purchase the leased property. For these assets, the depreciation period is over the economic useful life of the asset which may be longer than the remaining lease period.

i. Deferred tax assets

The Group reviews the carrying amounts of the deferred income tax assets at each end of the reporting period and reduces deferred income tax assets to the extent that it is no longer probable that sufficient future taxable profit will be available to allow all or part of the deferred income tax assets to be utilized. Significant management judgment is required to determine the amount of deferred income tax assets that can be recognized, based upon the likely timing and level of future taxable profits together with future tax planning strategies. However, there is no assurance that the Group will utilize all or part of the deferred income tax assets.

Net deferred tax assets as of September 30, 2025 and December 31, 2024 amounted to ₱696.07 million.

j. Estimating pension and other employee benefits

The cost of defined benefit pension plan and the present value of the pension liabilities are determined using actuarial valuations. The actuarial valuation involves making various assumptions. These assumptions are described and include among others, the determination of the discount rates and future salary increases. Due to the complexity of the valuation, the underlying assumptions and its long-term nature, defined benefit liabilities are highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the interest rates of government bonds that are denominated in the currency in which the benefits will be paid, with extrapolated maturities corresponding to the expected duration of the defined benefit liability.

The mortality rate is based on publicly available mortality tables for the specific country and is modified accordingly with estimates of mortality improvements. Future salary and pension increases are based on management's assumption aligned with the future inflation rates.

k. Estimating the incremental borrowing rate

The Group cannot readily determine the interest rate implicit in the lease, therefore, it uses its incremental borrowing rate (IBR) to measure lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Group 'would have to pay', which requires estimation when no observable rates are available (such as for subsidiaries that do not enter into financing transactions) or when they need to be adjusted to reflect the terms and conditions of the lease. The Group estimates the IBR using observable inputs (such as market interest rates) when available and is required to make certain entity-specific estimates (such as the subsidiary's stand-alone credit rating). This rate reflects the amount that the entity would need to borrow over the term of the lease.

l. Fair value measurement of financial instruments

When the fair values of financial assets and financial liabilities recorded in the consolidated statement of financial position cannot be measured based on quoted prices in active markets, fair value is measured using valuation techniques using the market data approach (i.e., Monte Carlo simulation). The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. Judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions relating to these factors could affect the reported fair value of financial instruments.

m. Determination of fair value less cost to sell

The Group estimated the recoverable amount of the 2 x 25 MW gas turbine plant based from offers received from buyers in the advanced stage of negotiations, conducted at arm's length, for similar assets or observable market prices less incremental costs of disposing the asset (e.g., dismantling and handling costs).

**MANAGEMENT'S DISCUSSION AND ANALYSIS
OF CONSOLIDATED RESULTS OF OPERATIONS AND FINANCIAL CONDITION
AS OF AND FOR THE PERIODS ENDED SEPTEMBER 30, 2025 AND 2024**

September 30, 2025 (Unaudited) vs September 30, 2024 (Unaudited)

I. RESULTS OF OPERATIONS

The table below summarizes the performance of Semirara Mining and Power Corporation (SMPC), its operating subsidiaries SEM-Calaca Power Corporation (SCPC) and Southwest Luzon Power Generation Corporation (SLPGC), associate Concreat Holdings Philippines (CHP) and other non-operating subsidiaries, collectively referred to as “the Group” for the periods ended September 30, 2025 and 2024.

- SMPC (referred to as the Coal Segment) is a vertically-integrated power generator that runs on its own fuel. The largest domestic coal producer, it supplies affordable fuel to power plants, cement factories and other industrial facilities across the Philippines. It also exports coal to China, South Korea, Brunei, and other nearby markets.
- SCPC and SLPGC (collectively referred to as the Power Segment) generate baseload power for the national grid. Both supply electricity through bilateral contract quantity (BCQ) and the wholesale electricity spot market (WESM).
- Associate CHP is a major cement manufacturer in the country, producing high-quality cement under the brands APO, Rizal, Island, including Ordinary Portland Cement (OPC), which is used in large-scale projects. SMPC holds a 10% stake in CHP after its acquisition of Cemex Holdings Philippines (its former corporate name) on December 2, 2024.

In Php Millions except EPS	July to September (Q3)			January to September (9M)		
	2025	2024	Change	2025	2024	Change
Coal	187	1,156	-84%	4,445	8,551	-48%
Power	1,345	1,961	-31%	5,685	7,139	-20%
CHP	(58)	-	-100%	(240)	-	-100%
Core Net Income	1,475	3,118	-53%	9,894	15,708	-37%
Nonrecurring Items	-	-	0%	-	-	0%
Reported Net Income	1,475	3,118	-53%	9,894	15,708	-37%
EPS (reported)	0.35	0.73	-53%	2.33	3.70	-37%

Q3 2025 vs Q3 2024 Consolidated Highlights

- The SMPC Group reported a net income of P1.48 billion, 53% lower than P3.12 billion last year, as prices normalize in both coal and power markets, along with higher noncash costs from mine development and increased shipments, weighed on earnings performance.

This translated to lower earnings per share of P0.35, versus P0.73 in the same period last year.

On a quarter-over-quarter basis, group earnings fell by 64%, from P4.06 billion, largely due to seasonal factors that led softer performances in both the coal and power segments.

- Total revenues declined by 9%, from P13.08 billion to P11.93 billion, as lower selling prices in both segments offset higher shipment and generation volumes.
- Total cash costs dropped by 3%, a slower pace than topline, from P8.33 billion to P8.10 billion, as the effect of higher production and generation was tempered by lower government share and reduced operating expenses.

Breaking this down, the cash component of COS saw an uptick (1%), from P6.50 billion to P6.59 billion, on the combined effect of increased shipments and generation, alongside efficient fuel management.

Government share fell by 49% from P630 million to P322 million, tracking weaker coal revenues and higher total production costs.

Operating expenses slipped by 1%, from P1.20 billion to P1.19 billion, mainly on reduced maintenance requirements in the power segment.

As a result, core EBITDA stood at P3.83 billion, down 19% from P4.75 billion, with the core EBITDA margin at 32% versus 36% last year.

- Net income margin narrowed to 12%, down from 24%, reflecting the combined effect of a weaker topline, higher depreciation and amortization (D&A), the equity loss from the cement associate and lower other and finance income.
- D&A expenses increased by 34%, from P1.57 billion to P2.11 billion, due to increased coal shipments, acquisition of new mining equipment and increased amortization of the Narra Mine stripping asset, and capital expenditures related to the SCPC Unit 2's generator replacement and upgrades to the fuel and feed systems.
- Other income fell by 60%, from P270 million to P107 million, owing to a high base effect from the prior year's partial insurance claim in the power segment (P170 million), as well as lower foreign exchange gains and fly ash sales.
- The group also recognized an equity net loss of P58 million from its cement associate, which had no contribution in the same period last year.
- Net finance income declined sharply, from P147 million to P23 million, reflecting lower average cash balances, reduced interest income, and lower placement yields, partly offset by lower loans payable.
- Provision for income taxes decreased by 34%, from P474 million to P313 million, consistent with the lower taxable income of the power segment.

- No nonrecurring item was recorded during the period.
- Segment contributions weakened, mirroring lower selling prices and eliminating entries from the power segment.
- The power business accounted for 91% of group net income (up from 63% last year), while the coal segment, including cement associate, contributed 9% (down from 37%), underscoring a shift in earnings mix as energy prices normalized and power operations strengthened.

9M 2025 vs 9M 2024 Consolidated Highlights

- The SMPC Group posted a net income of P9.89 billion, a 37% decline from P15.71 billion in the same period last year, mainly due to the continued normalization of coal and spot electricity prices, higher noncash costs and the equity net loss from its cement associate.

This translated to earnings per share of P2.33, compared to P3.70 last year, equivalent to a 17% return on equity over the nine-month period.

- Total revenues fell by 13%, from P49.67 billion to P43.26 billion, reflecting lower average selling prices in both segments, cushioned by improved production and plant performance.
- Total cash costs decreased by 7%, slower pace than topline, from P28.11 billion to P26.26 billion, as disciplined cost management, lower government share and operating efficiencies offset higher production and generation levels.

The cash component of COS stood at P20.22 billion, relatively flat versus P20.31 billion last year, as increased shipments and power sales were cushioned by efficient fuel management.

Government share payments contracted by 41%, from P4.39 billion to P2.58 billion, tracking the decline in coal revenues and higher production costs.

Operating expenses inched up 1%, from P3.41 billion to P3.46 billion, mainly from higher insurance premiums, additional plant maintenance costs, and increased ICT-related expenditure.

As a result, core EBITDA reached P17.00 billion, down 21% from P21.57 billion, with EBITDA margin narrowing to 39%, from 43% last year.

- Net income margin eased to 23%, from 32%, due to higher depreciation and amortization, an equity net loss from the Group's cement associate (P240 million), and lower finance income, amid broadly stable other income.
- No nonrecurring items were recorded during the period.

- The power segment accounted for 57% of group net income, while the coal segment contributed 43%, including the cement associate's results.
- On October 20, 2025, the company declared special dividends of P1.25/share from unrestricted retained earnings, amounting to P5.31 billion, payable on November 20, 2025.

Including the Php2.00/share regular and special dividends paid in April 2025, total dividend for 2025 reached P13.80 billion, equivalent to 70% of 2024's reported net income of P19.63 billion—well above the Group's 20% minimum dividend policy.

- As of September 30, 2025, the Group remained financially strong, with total assets at P70.57 billion, slightly lower than the P71.20 billion recorded at year-end 2024:
 - Cash and cash equivalents stood at P9.28 billion, slightly lower than P9.47 billion, following April dividend payments (P8.50 billion), capital expenditures (P5.32 billion), and debt servicing (P1.41 billion), partly cushioned by strong operating cash flows.
 - Loans payable declined by 53%, from P2.64 billion to P1.23 billion, due to regular amortizations and the absence of new borrowings, resulting in a lower debt-to-equity ratio of 0.22, from 0.26.
 - Current ratio improved to 2.84, from 2.35, supported by a 25% increase in inventories, despite the lower cash balance.
 - Book value per share stood at P13.62, slightly up from P13.30, as nine-month earnings offset the impact of cash dividend distributions.

Q3 2025 vs Q3 2024 Segment Performance

Coal

At the standalone level, coal revenues were stable (-1%) at P8.04 billion, compared to P8.15 billion, as increased production offset the impact of weaker selling prices largely due to lower coal quality sold.

Reported net income declined by 79%, from P1.67 billion to P344 million, following flat revenues, higher cash and noncash costs and lower finance income.

Net of intercompany eliminations, net income dropped by 84%, from P1.16 billion to P187 million. Eliminating entries likewise decreased by 70%, from P516 million to P157 million, mainly due to lower coal and electricity selling prices, which compressed gross margins.

Eliminating entries represent the gross margins from intercompany transactions between the coal and power segments.

To further elaborate on the segment's financial performance:

- **Normalizing prices.** The average selling price (ASP) of Semirara coal fell by 20%, from P2,811/MT to P2,249/MT, largely in line with the Indonesian Coal Index, reflecting stabilizing global market benchmarks and a higher proportion of lower-quality shipments.

The average Newcastle index (NEWC) dropped by 23%, from US\$140.3 to US\$108.5, while Indonesian Coal Index 4 (ICI4) declined by 19%, from US\$51.7 to US\$42.1, a milder correction than NEWC.

Quarter-over-quarter, NEWC rose by 8% from US\$100.5, while ICI4 slipped by 9% from US\$46.4. Despite the pullback, average 2025 NEWC and ICI4 prices remained above pre-pandemic (2019) levels at US\$68.2 (+59%) and US\$33.1 (+27%), respectively.

- **Increased shipments.** Total coal shipments grew by 23%, from 2.9 MMT to 3.6 MMT, driven by foreign shipments amid stable domestic sales.

Foreign shipments jumped by 55%, from 1.1 MMT to 1.7 MMT, mainly due to stronger demand from China, which accounted for 100% of total export sales.

Domestic shipments were steady at 1.8 MMT, as increased deliveries to other power plants offset lower offtake from cement plants.

- **Narrower margins.** Core EBITDA decreased by 22%, from P2.58 billion to P2.02 billion, while margin narrowed from 32% to 25%, on weaker selling prices and higher production and operating costs.

The net income margin likewise declined from 21% to 4%, due to higher depreciation and amortization and lower finance income.

Revenues were essentially flat (-1%), while total cash costs rose by 8%, from P5.57 billion to P6.02 billion, due to thinner price to cost spreads and higher production costs.

The cash component of cost of sales increased by 15%, from P4.76 billion to P5.49 billion, in line with the 23% rise in total shipments. Meanwhile, government share dropped by 49%, from P630 million to P322 million, consistent with lower coal prices and higher direct costs.

Operating expenses rose by 14%, from P185 million to P210 million, driven by higher ICT-related and labor costs.

- **Higher noncash items.** Depreciation and amortization expenses surged by 61%, from P1.05 billion to P1.68 billion, due to the combined effect of higher shipments, new mining equipment acquisitions, and the ongoing amortization of the Narra mine stripping asset. In 2024, P1.36 billion was capitalized for Narra mine stripping.
- **Lower finance income.** Net finance income fell from P126 million to P7 million, due to reduced cash balances and lower interest income from short-term placements, cushioned by lower loans payable.

Beginning cash balances declined by 87%, from P8.17 billion to P1.05 billion (June 2024 versus June 2025), while loans payable decreased by 33%, from P614 million to P391 million.

The segment also reported the following operational highlights:

- **Higher production.** Coal output surged by 27%, from 3.0 MMT to 3.8 MMT, supported by improved access to coal seams at Narra North Block 3 and West Block 2.

Material movement increased by 5%, from 47.4 million bank cubic meters (MBCM) to 49.7 MBCM, while strip ratio improved from 15.2 to 12.3.

For full year 2025, the strip ratio is projected to average at 10.04, 18% better than the 12.2 recorded in FY2024.

- **Growing low-grade inventory.** Ending total coal inventory rose by 17%, from 2.4 MMT to 2.8 MMT, while commercial-grade inventory dropped by 82%, from 1.4 MMT to 0.3 MMT, on less commercial-grade production and drawdowns of higher-grade coal.

Quarter-on-quarter, total stockpile grew by 4%, from 2.7 MMT, while commercial-grade inventory dropped by 63%, from 0.8 MMT.

Power

At the standalone level, power revenues contracted by 5%, from P5.82 billion to P5.54 billion, as weaker spot prices offset improved plant performance and higher generation volumes.

Core EBITDA declined by 9%, from P2.34 billion to P2.13 billion, with the margin moderating slightly from 40% to 38%, reflecting softer average selling prices (ASP) and stable cash costs amid stronger electricity output.

Reported net income decreased by 17%, from P1.42 billion to P1.18 billion, while the net margin narrowed from 24% to 21%, mainly due to reduced core EBITDA, higher depreciation, and lower net finance income.

Net of intercompany eliminations, net income contribution to the Group dropped by 31%, from P1.96 billion to P1.35 billion, as intersegment adjustments narrowed with lower selling prices. No non-recurring items were recorded during either period.

The segment's results are attributable to the following:

- **Stronger plant availability.** Overall plant availability rose from 75% to 82%, driven by improved performance of both SCPC and SLPGC and a reduction in total outage days (from 91 to 66).

SCPC's availability climbed from 83% to 93%, following fewer unplanned outages (down from 32 to 13)

SLPGC's availability likewise increased from 68 to 71%, as outage days declined from 59 to 53.

- **Stable average capacity.** Total average capacity during running days inched up (1%), from 755 MW to 762 MW, as higher SCPC's capacity (up 5% from 479 MW to 502 MW)

offset a 6-percent reduction in SLPGC's capacity (from 276 MW to 261 MW) due to minor occasional deration.

- **Higher generation and sales.** With improved reliability, gross generation grew by 10%, from 1,308 GWh to 1,442 GWh, mainly from SCPC, which offset deration at SLPGC.

Total power sales increased by 9%, from 1,213 GWh to 1,324 GWh, with both bilateral contract quantities (BCQ) and spot sales posting growth. The share of spot sales declined slightly to 52%, from 54%, following the rise in BCQ volumes.

- **Rising BCQ volumes.** BCQ sales grew by 14%, from 564 GWh to 641 GWh, reflecting a 17% increase in contracted capacity, from 274.4 MW to 320.4 MW at the beginning of the period (June 2024 vs. June 2025).

Spot market sales likewise increased by 5%, from 649 GWh to 683 GWh, supported by better plant reliability, despite reduced spot exposure at the beginning of the period, which fell from 481.6 MW to 435.6 MW, after accounting for station service.

Station service refers to electricity used internally to power lights, motors, control systems, and other auxiliary systems within the plant.

- **Weaker selling prices.** Overall average selling price (ASP) fell by 7%, from P4.76/kWh to P4.44/kWh. BCQ ASP climbed by 11%, from P4.66/kWh to P5.19/kWh, driven by new and renegotiated contracts.

Meanwhile, spot ASP dropped by 23%, from P4.84/kWh to P3.73/kWh, reflecting wider supply margins and lower fuel costs in the Wholesale Electricity Spot Market (WESM).

- **Contained cash costs.** Total cash costs fell by 3%, from P3.48 billion to P3.38 billion, due to more efficient fuel management, lower operating expenses, despite higher generation volume.

The cash component of cost of sales slipped by 2%, from P2.46 billion to P2.41 billion, while operating expenses likewise fell by 4%, from P1.02 billion to P974 million, due to lower maintenance requirements.

- **Higher D&A.** Depreciation and amortization expenses rose by 10%, from P725 million to P794 million, in line with capital expenditures for SCPC Unit 2's generator replacement in 2024 and upgrades to the fuel and feed systems.
- **Reduced other income.** Other income dropped by 63%, from P244 million to P92 million, following a high base effect from last year's partial insurance claim related to SCPC Unit 1's axial rotor displacement incident in June 2023 (P170 million) and lower fly ash sales this quarter.
- **Lower net finance income.** Net finance income declined from P45 million to P33 million, because of reduced interest income from placements and lower loan obligations.

Beginning cash balances (June 2024 vs. June 2025) eased slightly by 1%, from P5.60 billion to P5.55 billion, while loans payable dropped by 73%, from P3.98 billion to P1.08 billion, as the segment continued deleveraging.

The segment also reported the following operational updates:

- **Growing contracted capacity.** As of September 30, 2025, the power segment had 344.4 MW of contracted capacity, accounting for 44% of its net selling capacity of 774 MW. Of this total, 7% included a fuel pass-through clause.

SCPC accounted for 276.5 MW (80%) of the contracted volume, while SLPGC contributed 67.9 MW.

After excluding station service requirements of 86 MW, the segment maintained 429.6 MW of net spot exposure.

The Philippine Electricity Market Corporation, through the Independent Electricity Market Operator of the Philippines (IEMOP), approved the uprating of SCPC Unit 1 and 2's dependable capacity to 250MW and 310MW, respectively (from 240MW and 300MW) on September 4.

- **Reduced spot purchases.** Spot purchases plunged by 64%, from P173 million to P63 million, due to improved plant performance and reduced reliance on external supply.

The segment remained a net seller to the spot market by 660 GWh, compared to 623 GWh in Q3 2024.

CAPEX

In the third quarter of 2025, Group capital expenditures rose by 33% to P800 million from P600 million, driven mainly by higher spending in the coal segment for re-fleeting initiatives and the acquisition of mining and support equipment. Power segment spending was steady at P300 million, largely for maintenance projects.

In Php billions	Q3 2025	Q3 2024	Change	9M 2025	9M 2024	Change
Coal	0.5	0.2	150%	4.4	2.4	83%
Power	0.3	0.3	0%	0.9	1.3	-30%
Total	0.8	0.6*	33%	5.3	3.8*	39%

**Rounding may cause total not to match the sum of parts.*

For full-year 2025, Group capital expenditures are projected to increase by 11% to P5.9 billion, driven mainly by the coal segment's ongoing investments in equipment upgrades and fleet expansion. These investments support the Group's expanded mining program, with annual maximum mining capacity raised to 20 MMT, following the approval of its updated Environmental Compliance Certificate (ECC) in May.

Meanwhile, power segment spending is expected to decline to P1.1billion, reflecting a high base in 2024 due to the replacement of the SCPC Unit 2 generator. In 2025, power-related investments focus on maintenance activities and system upgrades designed to enhance fuel efficiency and reliability.

In Php billions	2025F	2024A	Change
Coal	4.9	3.5	40%
Power	1.1	1.8	-39%
Total	5.9	5.3	11%

In the coal segment, capital expenditure was revised downward, from P5.8 billion to P4.9 billion, as management deferred certain equipment acquisitions to maximize the use of its existing fleet. The adjustment aims to manage costs and resources efficiently, while sustaining production targets.

Market Review and Outlook

Coal

As anticipated, muted ICI4 prices continue to be driven by persistent oversupply in China, slower demand growth across Asia, and increased availability of discounted Russian coal, which continues to displace seaborne volumes. These factors have weighed on global benchmarks, with the average Newcastle (NEWC) index dropping by 23% to US\$108.5 in the third quarter from US\$140.3 last year, while the Indonesian Coal Index 4 (ICI4) declined more gradually by 19% to US\$42.1 from US\$51.7.

On a quarter-over-quarter basis, NEWC rose by 8% from US\$100.5, supported by tightening Australian supply and stronger restocking demand in North Asia, while ICI4 fell by 9% from US\$46.4 due to sustained weakness in lower-calorific coal demand and rising competition from alternative suppliers.

While seasonal winter restocking and lower nuclear availability in South Korea may lend short-term support, benchmark prices are expected to remain largely neutral for the remainder of the year. Going forward to 2026, coal prices will be influenced by a combination of supply-demand dynamics, policy developments, new generation capacity, and broader macroeconomic conditions.

For 2025, SMPC expects average benchmark prices of US\$104.7 for NEWC and US\$45.3 for ICI4. The NEWC index is projected to rebound to around US\$113.4 per ton on the back of renewed demand for higher-calorific coal and potential supply constraints in Australia, while ICI4 is expected to normalize to about US\$39 per ton—close to pre-pandemic levels—as structural headwinds persist in the low-CV segment.

In this more competitive market environment, SMPC remains focused on enhancing cost efficiency, optimizing operations, and strengthening its marketing strategies to preserve

margins. Exploration activities at the Acacia mine are ongoing to extend resource life and improve coal quality.

Power

From July to September 2025, average spot electricity prices in the Luzon-Visayas grid declined by 33% year-on-year, from P5.23/kWh to P3.51/kWh. The drop was mainly driven by additional generation capacity, the short-term extension of a 1,000 MW gas-fired plant, cheaper coal and natural gas, and softer demand, all of which widened supply margins and weighed on spot prices.

Average supply during the quarter rose by 7%, from 14,518 MW to 15,463 MW, while average demand dipped by 2%, from 12,116 MW to 11,873 MW due to the cooler weather conditions. This supply-demand imbalance continued to exert downward pressure on spot rates. (Supply figures exclude roughly 1,600 MW of high-cost, oil-based peaking capacity.)

The wider supply margin was also evident in the nine-month period. From January to September, average supply expanded by 10% to 15,573 MW, while average demand was nearly flat at 11,971 MW versus 12,006 MW last year.

For full-year 2025, SMPC expects spot prices to average P3.63/kWh, 29% lower than P5.14/kWh in 2024. The entry of roughly 1,500 MW of new capacity—comprising solar, wind, and coal plants—is projected to further improve supply margins by year-end. In 2026, prices are expected to ease further to an average of P3.17/kWh as more than 5,400 MW of solar and other renewables, plus 350 MW of new baseload capacity, are added to the grid.

To manage market volatility and sustain competitiveness, management remains focused on improving operational efficiency and contracting around two-thirds of net selling capacity through bilateral power supply agreements. In September, the Philippine Electricity Market Corporation, through the Independent Electricity Market Operator of the Philippines (IEMOP), approved the uprating of SCPC Unit 1 and Unit 2 dependable capacities to 250 MW and 310 MW, respectively (from 240 MW and 300 MW).

Despite near-term softness, long-term electricity demand in the Philippines is projected to expand steadily, driven by urbanization, manufacturing investments, and digital infrastructure growth. SMPC remains well-placed to benefit from these trends through its low-cost operations and disciplined contracting strategy.

II. Explanation on movements of accounts

A. Consolidated Statement of Income

Revenue

Consolidated revenue for the nine-month period contracted by 13% from P49.7 billion in 2024 to P43.3 billion in 2025 following lower market prices for both coal and power segments coupled with higher proportion of non-commercial grade coal shipments.

Cost of Sales

Cost of sales went up by 4% to P26.2 billion driven by higher coal production, shipments and power generation.

Operating Expenses

Operating expenses declined by 23% to P6.1 billion during the nine-month period of 2025 as government royalties stood at P2.6 billion, 41% down from P4.4 billion owing to lower coal revenues and higher production costs. Excluding government royalties, operating expenses increased by 1% to P3.5 billion on higher insurance premiums, plant maintenance and ICT-related expenses.

Finance Cost

Consolidated finance costs declined by 48% to P154 million following the continuous repayment of bank loans.

Finance Income

Consolidated finance income lowered by 70% to P220 million due to lower cash balance and placement rates.

Forex Gains - Net

Net forex gains stood at P135 million, 450% up from last year on the back of Philippine Peso depreciation against the US Dollar where forex payments exceed our forex collections.

Share in net income (loss) of associate

The Group also recognized a P240 million equity in net loss of Concreat Holdings Philippines (CHP) which represents its 10% effective stake acquired on December 2, 2024.

Other Income

Other income dipped by 23% mainly due to absence of insurance claim from 2024 and lower fly ash sales.

Provision for Income Tax

Income taxes down by 24% due to lower taxable income.

B. Consolidated Statement of Financial Position

The Company's financial condition for the period remained healthy as consolidated total assets as of September 2025 ended at P70.6 billion, a 1% down from P71.2 billion at the end of 2024. Meanwhile, total equity ended at P57.9 billion, a 2% increase from end of 2024, after posting a P9.9 billion net income during the nine-month period and cash dividends declaration in March 2025.

Consolidated cash and cash equivalents slightly fell by 2% from P9.5 billion on December 31, 2024 to P9.3 billion on September 30, 2025 due to the combined effect of P15.2 billion cash generation from operations, higher capex payments, continuous loan repayments and dividend payment in April 2025.

Receivables decreased by 4% from P7.6 billion of December 2024 to P7.3 billion as collections more than offset generated revenues.

Consolidated inventories increased by 25% to P14.9 billion due mainly to higher coal and fuel inventory.

Other current assets down by 3% to P1.2 billion mainly due to the recoupment of advances made to suppliers and application of tax credits to income tax payable for the period.

Property, plant and equipment (including right-of-use assets and deferred mine exploration costs) stood at P35.2 billion, lower by 8% from P38.2 billion last year as depreciation and amortization more than offset capital expenditures during the nine-month period of 2025.

Investment in associate down by 16% mainly due to the share in net loss from CHP for 9M 2025.

Other noncurrent assets increased by 83% on additional software cost and advances to suppliers and contractors.

Accounts and other payables slipped by 6% owing to lower government share.

Long-term debts declined by 53% to P1.2 billion following bank loan repayments.

Lease liabilities (current and noncurrent) down by 16% following lease payments.

Provision for decommissioning and site rehabilitation pertains to accrual for estimated cost of rehabilitation activities for the mine site and dismantling and restoration activities on its powerplant site.

Pension liabilities grew by 16% following accrual of retirement expense during the nine-month period of 2025.

Decrease in other noncurrent liabilities pertain to amortization of deferred rent income of SLPGC.

Consolidated retained earnings stood at P47.9 billion at end of September 2025, a slight increase of 3% from P46.5 billion at 2024 year-end after generation of P9.9 billion net income and declaration of P8.5 billion SMPC Parent dividends.

III. Performance Indicators

1. Net income after tax – declined by 37% following lower coal prices and WESM prices and recognition of an equity net loss from its cement associate.
2. Dividend payout – the Parent Company declared P1.25 per share regular dividends and P0.75 per share special dividends or a total of P2.0 per share dividends on March 24, 2025. The total dividends amounting to P8.5 billion were paid on April 23, 2025.
3. Debt to equity ratio (interest bearing loans) – slight improvement in DE ratio from 0.05 as of December 31, 2024 to 0.02 as of September 30, 2025 following continuous debt

repayment and wash effect of net income during the nine-month period of 2025 and dividends declared in March 2025.

4. Core EBITDA margin – 9M 2025 margins narrowed to 39% from 43% last year owing to lower market prices amid increased production costs and operating expenses (excluding government share).
5. Current ratio – improvement in current ratio from 2.35x at the end of 2024 to 2.84x as of September 2025 due to higher inventory balance in spite the decline in cash balance.

PART II – OTHER INFORMATION

1. The Company's operation is a continuous process. It is not dependent on any cycle or season.
2. Coal prices are generally hinge on the commodities market. Sales to WESM of power generation segment depends on the supply-demand of electricity.
3. There were no undisclosed material subsequent events and transferring of assets not in the normal course of business that have not been disclosed for the period that the company have knowledge of;
4. There are no material contingencies during the interim period; events that will trigger direct or contingent financial obligation that is material to the company, including any default or acceleration of an obligation has been disclosed in the notes to financial statements.
5. There are no material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the company with unconsolidated entities or other persons created during the reporting period
6. Any known trends or any known demands, commitments, events or uncertainties that will result in or that will have a material impact on the registrant's liquidity. – None
7. The Group does not have any offering of rights, granting of stock options and corresponding plans thereof.
8. All necessary disclosures were made under SEC Form 17-C.

PART III SIGNATURES

Pursuant to the requirement of the Revised Securities **Code**, the registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Issuer: **SEMIRARA MINING AND POWER CORPORATION**

Signature and Title:


MARIA CRISTINA C. GOTIANUN
Principal Executive and Operating Officer

Date: October 30, 2025


CARLA CRISTINA T. LEVINA
Chief Finance Officer

Date: October 30, 2025


JOY E. CARRIDO
Controller

Date: October 30, 2025

**PART IV
ANNEX A**

**AGING OF ACCOUNTS RECEIVABLE
AS OF SEPTEMBER 30, 2025**

TRADE RECEIVABLES

	Neither past due nor impaired	Past due but not impaired				Impaired	Total
		<30 days	30-60 days	61-90 days	>90 days		
COAL	P2,076,294	P82,504	P2,854	P38,324	P43,750	P36,113	P2,279,838
POWER	1,921,402	467,846	122,663	35,993	640,008	1,632,737	4,820,649
TOTALS	P3,997,696	P550,350	P125,517	P74,317	P683,758	P1,668,850	P7,100,487
ALLOWANCE FOR DOUBTFUL ACCOUNTS							1,668,850
							P5,431,637

NON-TRADE RECEIVABLES

COAL	P299,362	P-	P-	P-	P-	P5,815	P305,177
POWER	34,879	2,360	103	-	4,132	-	41,474
TOTALS	P334,241	P2,360	P103	P-	P4,132	P5,815	P346,651
ALLOWANCE FOR DOUBTFUL ACCOUNTS							5,815
							P340,836

DUE FROM RELATED PARTIES

NET RECEIVABLES (in thousands)

P1,481,880

P7,254,353

ANNEX B

SEMIRARA MINING AND POWER CORPORATION FINANCIAL RISK MANAGEMENT DISCLOSURES

As of September 30, 2025

The Group has various financial assets such as cash and cash equivalents, receivables, and environmental guarantee fund, which arise directly from operations.

The Group's financial liabilities comprise trade and other payables, short-term loans, long-term debt and other noncurrent liabilities. The main purpose of these financial liabilities is to raise finance for the Group's operations. The main risks arising from the Group's financial instruments are price risk, interest rate risk, liquidity risk, foreign currency risk and credit risk.

The BOD reviews and approves policies for managing each of these risks which are summarized below.

The sensitivity analyses have been prepared on the following basis:

- Price risk - movement in one-year historical coal prices and movement of WESM price power
- Interest rate risk - market interest rate on loans
- Foreign currency risk - yearly movement in the foreign exchange rates

The assumption used in calculating the sensitivity analyses of the relevant income statement item is the effect of the assumed changes in respective market risks. This is based on the financial assets and financial liabilities held at September 30, 2025 and December 31, 2024.

Price Risk

Price risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market.

The price that the Group can charge for its coal is directly and indirectly related to the price of coal in the global coal market. In addition, as the Group is not subject to domestic competition in the Philippines, the pricing of all of its coal sales is referenced to coal indices such as New Castle Index and Indonesian Coal Index. Global thermal coal prices are affected by numerous factors outside the Group's control, including the demand from customers which is influenced by their overall performance and demand for electricity. Prices are also affected by changes in the global supply of coal and may be affected by the price of alternative fuel supplies, availability of shipping vessels as well as shipping costs.

As the coal price is reset on a periodic basis under coal supply agreements, this may increase its exposure to short-term coal price volatility

There is no assurance that global coal prices will remain higher than pre-pandemic level or that domestic and international competitors will not seek to replace the Group in its relationship with its key customers by offering higher quality, better prices or larger guaranteed supply volumes, any of which would have a materially adverse effect on the Group's profits.

To mitigate this risk, the Group continues to improve the quality of its coal and diversify its market from power industry, cement industry, other local industries and export market. This will allow flexibility in the distribution of coal to its target customers in such manner that minimum target average price of its coal sales across all its customers will still be achieved (i.e., domestic versus export). Also, in order to

mitigate any negative impact resulting from price changes, it is the Group's policy to set minimum contracted volume for customers with long-term supply contracts for each given period (within the duration of the contract) and pricing is negotiated on a monthly basis to even out the impact of any fluctuation in coal prices, thus, protecting its target margin.

The excess volumes are allocated to spot sales which may command different price than those contracted already since the latter shall follow pricing formula per contract.

Nevertheless, on certain cases temporary adjustments on coal prices with reference to customers following a certain pricing formula are requested in order to recover at least the cost of coal if the resulting price is abnormally low vis-à-vis cost of production (i.e., abnormal rise in cost of fuel, foreign exchange).

Below are the details of the Group's coal sales to the domestic market and to the export market (as a percentage of total coal sales volume):

	09/30/2025	12/31/2024
Domestic Market	29.61%	31.81%
Export Market	70.39%	68.19%
<i>as a percentage of total coal sales volume</i>		

The following table shows the effect on income before income tax should the change in the prices of coal occur based on the inventory of the Group as of September 30, 2025 and December 31, 2024 with all other variables held constant.

The change in coal prices used in the simulation assumes fluctuation from the lowest and highest price based on 9-month and 1-year historical price movements in 2025 and 2024.

Change in coal prices	Effect on income before income tax	
	September 30, 2025	December 31, 2024
Based on coal ending inventory		
Increase by 86% in 2025 and 62% in 2024	₱540,524,937	₱290,757,573
Decrease by 86% in 2025 and 62% in 2024	(540,524,937)	(290,757,573)
Based on coal sales volume		
Increase by 22% in 2025 and 64% in 2024	3,729,479,246	4,779,122,512
Decrease by 22% in 2025 and 64% in 2024	(3,729,479,246)	(4,779,122,512)

Interest Rate Risk

The Group's exposure to the risk of changes in market interest rates relates primarily to the Group's long-term term debts with floating interest rates. The Group's policy is to manage its interest cost using a mix of fixed and variable rate debts.

The following table shows the information about the Group's financial instruments that are exposed to cash flow (floating rate instrument) and fair value (fixed rate instrument) interest rate risks presented by maturity profile:

		September 30, 2025						
		Interest	Within 1 year	More than 1 year to 2 years	More than 2 years to 3 years	More than 3 years to 4 years	More than 4 years	Total
Cash in banks and cash equivalents		0.030% to 6.250%	₱9,279,830,017	₱–	₱–	₱–	₱–	₱9,279,830,017
Peso (PHP) long-term debt*								
a)	1,400.00 million loan	Fixed annual interest rate of 4.97% - 5.13% per annum	₱236,720,176	₱114,135,504	₱–	₱–	₱–	₱350,855,680
		Fixed annual interest rate of 4.88% - 6.40% per annum	301,963,169	72,597,373	–	–	–	374,560,542
b)	2,000.00 million loan	Fixed annual interest rate of 4.88% - 6.52% per annum	457,008,799	109,798,913	–	–	–	566,807,712
c)	2,700.00 million loan	4.88% - 6.52% per annum	₱995,692,144	₱296,531,790	₱–	₱–	₱–	₱1,292,223,934

**Includes future interest payables*

		December 31, 2024					Total
		Interest	Within 1 year	More than 1 year to 2 years	More than 2 years to 3 years	More than 3 years to 4 years	
Cash in banks and cash equivalents		0.030% to 6.250%	₱9,465,569,792	₱–	₱–	₱–	₱ 9,465,569,792
Peso (PHP) long-term debt*							
d)	1,400.00 million loan	Fixed annual interest rate of 4.97% - 5.13% per annum	₱250,183,136	₱235,544,101	₱56,711,836	₱–	₱– ₱542,439,073
e)	2,000.00 million loan	Fixed annual interest rate of 4.88% - 6.40% per annum	306,277,456	292,346,027	–	–	– 598,623,483
f)	2,700.00 million loan	Fixed annual interest rate of 4.88% - 6.52% per annum	464,310,058	443,241,418	–	–	– 907,551,476
g)	3,500.00 million loan	Fixed annual interest rate of 4.88% – 4.90% per annum	707,939,901	–	–	–	– 707,939,901
			₱1,728,710,551	₱971,131,546	₱56,711,836	₱–	₱– 2,756,553,933

*Includes future interest payables

The following table demonstrates the sensitivity of the Group's income before tax to a reasonably possible change in interest rates on September 30, 2025 and December 31, 2024, with all variables held constant, through the impact on floating rate borrowings.

Basis points (in thousands)	Effect on income before income tax Increase (decrease)	
	September 30, 2025	December 31, 2024
+100	P-	(P28,034)
-100	-	28,034

The assumed movement in basis points for interest rate sensitivity analysis is based on the Group's historical changes in market interest rates on bank loans.

There was no effect on the equity other than those affecting the income before tax.

Liquidity Risk

Liquidity risk is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. The Group's objective is to maintain a balance between continuity of funding and flexibility through the use of bank loans. The Group's policy is to maintain a level of cash that is sufficient to fund its monthly cash requirements, at least for the next four to six months. Capital expenditures are funded through a mix of suppliers' credit, letters of credit, trust receipts and long-term debt, while operating expenses and working capital requirements are funded through cash collections. A significant part of the Group's financial assets that are held to meet the cash outflows include cash equivalents and trade receivables. Although trade receivables are contractually collectible on a short-term basis, the Group expects continuous cash inflows through continuous production and sale of coal and power generation. In addition, although the Group's short-term deposits are collectible at a short notice, the deposit base is stable over the long term as deposit rollovers and new deposits can offset cash outflows.

Moreover, the Group considers the following as mitigating factors for liquidity risk:

- It has available lines of credit that it can access to answer anticipated shortfall in sales and collection of receivables resulting from timing differences in programmed inflows and outflows.
- It has diverse funding sources.
- It has internal control processes and contingency plans for managing liquidity risk. Cash flow reports and forecasts are reviewed on a weekly basis in order to quickly address liquidity concerns. Outstanding trade receivables are closely monitored.

As part of its liquidity risk management, the Group regularly evaluates its projected and actual cash flows. It also continuously assesses conditions in the financial markets for opportunities to pursue fund raising activities. Fund raising activities may include obtaining bank loans.

The tables below summarize the maturity profile of the Group's financial assets and liabilities as of September 30, 2025 and December 31, 2024 based on undiscounted contractual payments:

September 30, 2025						
	On Demand	Within 1 year	Beyond 1 year to 2 years	Beyond 2 year to 3 years	Beyond 3 years	Total
Financial Assets						
Cash in banks and cash equivalents	₱9,279,830,017	₱–	₱–	₱–	₱–	₱9,279,830,017
Receivables						
Trade:						
Outside parties	5,431,637,525	–	–	–	1,668,850,172	7,100,487,697
Related parties	1,481,879,894	–	–	–	–	1,481,879,894
Others ⁽¹⁾	340,836,174	–	–	–	5,815,000	346,651,174
Environmental guarantee fund	–	–	–	–	17,628,966	17,628,966
	₱16,534,183,610	₱–	₱–	₱–	₱1,692,294,138	₱18,226,477,748
Financial Liabilities						
Trade and other payables						
Trade:						
Payable to suppliers and contractors	₱7,808,069,269	₱–	₱–	₱–	₱–	₱7,808,069,269
Related parties	256,842,756	–	–	–	–	256,842,756
Accrued expenses and other payables ⁽²⁾	2,118,956,445	–	–	–	–	2,118,956,445
Lease liabilities	–	9,639,833	9,639,833	9,639,833	5,791,073	34,710,572
Peso long-term debt with interest payable in arrears ⁽³⁾						
1,400.00 million loan	–	236,720,176	114,135,504	–	–	350,855,680
2,000.00 million loan	–	301,963,169	72,597,373	–	–	374,560,542
2,700.00 million loan	–	457,008,799	109,798,913	–	–	566,807,712
	₱10,183,868,470	₱1,005,331,977	₱306,171,623	₱9,639,833	₱5,791,073	₱11,510,802,976

⁽¹⁾Excludes advances to officers and which are considered as non-financial asset

⁽²⁾Excludes statutory liabilities

⁽³⁾Includes future interest payable

December 31, 2024						
	On Demand	Within 1 year	Beyond 1 year to 2 years	Beyond 2 year to 3 years	Beyond 3 years	Total
Financial Assets						
Cash in banks and cash equivalents	P9,465,569,792	P-	P-	P-	P-	P9,465,569,792
Receivables						
Trade:						
Outside parties	7,323,181,384	-	-	-	-	7,323,181,384
Related parties	1,664,838,245	-	-	-	-	1,664,838,245
Others ⁽¹⁾	217,982,478	-	-	-	-	217,982,478
Environmental guarantee fund	-	-	-	-	16,607,307	16,607,307
	P18,671,571,899	P-	P-	P-	P16,607,307	P18,688,179,206
Financial Liabilities						
Trade and other payables						
Trade:						
Payable to suppliers and contractors	P6,757,357,386	P-	P-	P-	P-	P6,757,357,386
Related parties	372,123,366	-	-	-	-	372,123,366
Accrued expenses and other payables ⁽²⁾	357,012,028	-	-	-	-	357,012,028
Lease liabilities	-	9,639,833	9,639,833	9,639,833	27,770,739	56,690,238
Peso long-term debt with interest payable in arrears ⁽³⁾						
1,400.00 million loan	-	250,183,136	235,544,101	56,711,835	-	542,439,072
2,000.00 million loan	-	306,277,456	292,346,027	-	-	598,623,483
2,700.00 million loan	-	464,310,058	443,241,418	-	-	907,551,476
3,500.00 million loan	-	707,939,901	-	-	-	707,939,901
	P7,486,492,780	P1,738,350,384	P980,771,379	P66,351,668	P27,770,739	P10,299,736,950

⁽¹⁾Excludes advances to officers and which are considered as non-financial asset

⁽²⁾Excludes statutory liabilities

⁽³⁾Includes future interest payable

Foreign Currency Risk

Majority of the Group's revenue are generated in Philippine Peso, however, there are also significant export coal sales as well as capital expenditures which are in US\$.

The Group manages this risk by matching receipts and payments in the same currency and monitoring. Approximately, 37.48% and 40.76% of the Group's sales as of September 30, 2025 and December 31, 2024, respectively, were denominated in US\$ whereas approximately 39.51% and 23.01% of payables as of September 30, 2025 and December 31, 2024, respectively, were denominated in US\$.

Information on the Group's foreign currency-denominated monetary assets and liabilities and their Philippine peso equivalents follows:

	September 30, 2025		December 31, 2024	
	U.S. Dollar	PHP Equivalent	U.S. Dollar	PHP Equivalent
Assets				
Cash and cash equivalents	\$12,191,406	₱709,491,092	\$9,577,746	₱555,605,045
Trade receivables	20,285,203	1,180,517,657	20,439,711	1,185,707,635
Liabilities				
Trade payables	(85,921,109)	(5,000,264,900)	(58,207,647)	(3,376,625,602)
Net exposure	(\$53,444,500)	(₱3,110,256,151)	(\$28,190,190)	(₱1,635,312,922)

The following table demonstrates the sensitivity to a reasonably possible change in foreign exchange rates, with all variables held constant, of the Group's income before tax (due to changes in the fair value of monetary assets and liabilities) on September 30, 2025 and December 31, 2024.

		Increase (decrease) in Philippine Peso/ Foreign exchange rate	Effect on profit before tax
2025	USD	1.00%	₱62,205,123
		(1.00%)	(62,205,123)
2024	USD	0.83%	₱13,082,503
		(0.83%)	(13,082,503)

There is no impact on the Group's equity other than those already affecting profit or loss. The movement in sensitivity analysis is derived from current observations on movement in dollar average exchange rates.

Credit Risk

Credit risk is the risk that counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss.

The Group manages and controls credit risk by doing business with recognized, creditworthy third parties, thus, there is no requirement for collateral. It is the Group's policy that all customers who wish to trade on credit terms are subject to credit verification procedures. The Group evaluates the financial condition of the local customers before deliveries are made to them.

On the other hand, export sales are covered by sight letters of credit issued by foreign banks subject for the Group's approval, hence, mitigating the risk on collection. In addition, receivable balances are monitored on an ongoing basis with the result that the Group's exposure to doubtful accounts is not

significant. The Group generally bills 80% of coal delivered payable within 30 days upon receipt of billing and the remaining 20% payable within 5 days after receipt of final billing based on final analysis of coal delivered. The Group's exposure to credit risk from trade receivables arise from the default of the counterparty with a maximum exposure equal to their carrying amounts.

With respect to the credit risk arising from the other financial assets of the Group, which comprise cash and cash equivalents, other receivables, environmental guarantee fund and investment in sinking fund, the exposure to credit risk arises from default of the counterparty with a maximum exposure to credit risk equal to the carrying amount of the financial assets as of reporting date. The Group does not hold any collateral or other credit enhancement that will mitigate credit risk exposure. The Group transacts only with institutions or banks and third parties that have proven track record in financial soundness. The management does not expect any of these institutions to fail in meeting their obligations, however, due to the regulated environment that the Group operates in, collectability of financial assets is impacted by government regulations or actions.

An impairment analysis is performed at each reporting date using a provision matrix to measure expected credit losses. The provision rates are based on days past due of the customer with loss pattern. The calculation reflects the probability-weighted outcome and reasonable and supportable information that is available at the reporting date about past events, current conditions and forecasts of future economic conditions.

The tables below present the summary of the Group's exposure to credit risk as of September 30, 2025 and December 31, 2024 and show the credit quality of the assets by indicating whether the assets are subjected to the 12-month ECL or lifetime ECL.

September 30, 2025				
	12-month ECL	Lifetime ECL Not Credit Impaired	Lifetime ECL Credit Impaired	Total
Cash in banks and cash equivalents	₱9,279,830,017	₱–	₱–	₱9,279,830,017
Receivables:				
Trade receivables – related parties	–	1,481,879,894	–	1,481,879,894
Trade receivables – outside parties	–	5,431,637,525	1,668,850,172	7,100,487,697
Others*	–	340,836,174	5,815,000	346,651,174
Environmental guarantee fund	–	17,628,966	–	17,628,966
	₱9,279,830,017	₱7,271,982,559	₱1,674,665,172	₱18,226,477,748

*Excludes non-financial assets

December 31, 2024				
	12-month ECL	Lifetime ECL Not Credit Impaired	Lifetime ECL Credit Impaired	Total
Cash in banks and cash equivalents	₱9,465,569,792	₱–	₱–	₱9,465,569,792
Receivables:				
Trade receivables - related parties	–	1,664,838,245	–	1,664,838,245
Trade receivables - outside parties	–	5,652,645,226	1,670,536,158	7,323,181,384
Others*	–	212,167,119	5,815,359	217,982,478
Environmental guarantee fund	–	16,607,307	–	16,607,307
	₱9,465,569,792	₱7,546,257,897	₱1,676,351,517	₱18,688,179,206

*Excludes non-financial assets

Capital Management

The primary objective of the Group's capital management strategy is to ensure that it maintains a strong credit rating and healthy capital ratios in order to support its business and maximize shareholder value. The Group manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders or issue new shares.

No changes were made in the objectives, policies and processes from the previous years.

The Group manages its capital using debt-to-equity ratio, which is interest-bearing loans divided by equity, and EPS. The following table shows the Group's capital ratios as of September 30, 2025 and December 31, 2024.

	September 30, 2025	December 31, 2024
Interest-bearing loans	₱1,231,380,776	₱2,634,744,554
Total equity	57,911,545,471	56,518,554,441
Debt-equity ratio	0.02:1	0.05:1
EPS	₱2.33	₱4.62

The debt-to-equity ratio, expressed in percentage, is carefully matched with the strength of the Group's financial position, such that when a good opportunity presents itself, the Group can afford further leverage.

The Group considers long-term debt as 'interest-bearing loans' in determining debt-to-equity ratio.

The following table shows the components of the Group's capital as of September 30, 2025 and December 31, 2024:

	September 30, 2025	December 31, 2024
Total paid-up capital	₱10,940,136,701	₱10,940,136,701
Acquisition of treasury shares	(739,526,678)	(739,526,678)
Net remeasurement losses on pension plan	(159,940,769)	(159,940,769)
Retained earnings – unappropriated	41,070,876,217	39,677,885,187
Retained earnings – appropriated	6,800,000,000	6,800,000,000
	₱57,911,545,471	₱56,518,554,441

Some loan agreements have covenants that require the Group to maintain debt-to-equity (DE) ratios, among others.

Fair Values

Fair Value Information

Cash and cash equivalents, receivables, environmental guarantee fund, trade payables, accrued expenses and other payables approximate fair value. Most of these financial instruments are relatively short-term in nature.

Long-term debt

The carrying values approximated the fair value because of recent and regular repricing of interest rates (e.g. monthly, quarterly, semi-annual or annual basis) based on current market conditions. In 2025 and 2024, interest rate ranges from 4.50% to 5.13%.

Fair Value Hierarchy

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

- Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities
- Level 2: other techniques for which all inputs which have a significant effect on the recorded fair value are observable, either directly or indirectly
- Level 3: techniques which use inputs which have a significant effect on the recorded fair value that are not based on observable market data. There has been no reclassification from Level 1 to Level 2 or 3 category in 2025 and 2024.

ANNEX C**COMPARATIVE FINANCIAL SOUNDNESS INDICATORS**

	September 30, 2025	December 31, 2024
Current ratio	2.84	2.35
Quick ratio	1.50	1.42
Debt to equity ratio (total liabilities)	0.22	0.26
Debt to equity ratio (interest bearing loans)	0.02	0.05
Net debt to equity ratio (interest bearing loans)	0.06	(0.12)
Asset to equity ratio	1.22	1.26

	September 30, 2025	September 30, 2024
Return on assets	13%	19%
Return on equity	17%	25%
Interest coverage ratio	45.13	108.59
Gross profit margin	39%	49%
Net profit margin	23%	32%